Deutsche Bank
Research

Asia
China

Technology
Software & Services

Industry
China E-commerce

Date
29 October 2026

Recommendation
Change

3Q26 preview; Upgrade PDD to BUY

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Key Changes

Company	Target Price	Rating
9988.HK	190.00 to 180.00	-
BABA.N	195.00 to 185.00	-
PDD.OQ	-	Hold to Buy

Source: Deutsche Bank

Sector growth remains under pressure

The overall retail sales showed a mild recovery in 3Q26, supported by earlier holidays and fading base effect from national subsidies, while the online retail goods growth decelerated. Early indicators for the Double 11 shopping festival also appear soft. We have therefore lowered 3Q and full-year GMV and revenue estimates across our coverage of the space. While the top line is sluggish, the sector remains a recovery story (driven by narrowing food delivery losses), and we believe Alibaba remains a growth company due to its full-stack AI asset base.

Upgrading PDD to BUY; TP at US$105

We lift PDD from HOLD to BUY. The company has net cash equivalent to 72% of market cap (Figure 13), and trades 2 s.d. below its average P/B, so the valuation is too attractive for us to look past, despite our concerns over Street Consensus being optimistic. Our concerns regarding lack of shareholder returns and insufficient transparency remain, and the company is coming under regulatory pressure across its key markets that we expect may capping earnings, but we think substantially lower earnings are priced in.

The company is pivoting towards higher-quality development and brand building, which we believe will help it partly offset the regulatory risks. PDD is taking a more ambitious approach to upgrading China's manufacturing supply chain, moving beyond its traditional role as a marketplace toward product development and brand incubation. The initiative "Xinpinmu" was launched in March 2026 to develop self-operated brands across different product categories and overseas markets.

PDD has vast amounts of data on what sells in China, and can use this to target niches under self-operated brands, and collaborations with merchants – where it brings its data, technology and marketing support, with an aim of improving product development and manufacturing standards. The plan is to provide customized manufacturing solutions while also supporting overseas expansion through product standards, warehousing and logistics, intellectual-property services, legal assistance and regulatory review.

This could allow PDD to capture more of the economics associated with differentiated products and brands without owning manufacturing assets. The downside of this strategy is the initial cost (with CNY115bn in investment in 2026-

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'28), and that it nudges the platform away from being the low-cost marketplace to more of a low-end department store – with better quality, but higher prices. We believe such a pivot was needed due to low-end marketplaces having scaled up to a level that attracted regulatory attention, especially for cross-border business, and so higher costs and probably less volume as they get forced into meeting safety and other product standards. We think the change is necessary, and has some potential, but we believe the company has more barriers to growing earnings than the Street expects. We are at the low end of estimates, with our 2027/28 NPAT forecast being 18%/28% below Bloomberg consensus. However, we find the current valuation of 3x EV/EBITDA to be attractive, so lift the stock to BUY.

Order of preference

We trim our TP for Alibaba to US$185 and HK$180 following the estimates revision. Our TPs for JD.com and PDD remain unchanged. Based on the implied upside, **our order of preference is now Alibaba > JD.com > PDD.**

We switch our top pick to Alibaba, which we think trades attractively given its exposure to the high growth cloud and AI areas. We believe with the rise of open-source models and further adoption of its proprietary T-head chips, Alibaba's cloud revenue growth and margins still have upside potential in the coming quarters. Its full-stack capabilities across models, infra, chips and applications should position it well to capture greater value from the evolving AI landscape. We also wish to remind investors of the value embedded within its AI investment portfolio (CXMT, Unitree, etc.).

We also favor JD, which we like for its EPS recovery and shareholder returns. The company's profitability is on an upward trajectory, driven by margin uplifts in its core retail business and reduced losses from food delivery. We project the company will generate 16% non-GAAP EPS growth this year and 15% next. Its valuation remains attractive at 6.5x forward P/E, with its current market cap 56% backed by net cash.

Please see inside pages for Valuation and risks.

Policy and sector review

Retail sales, express parcel volume, and Double 11

The headline figures for 3Q26 are mixed. China's retail sales growth (excluding autos) grew 3.0% YoY accelerating from the previous quarter's low of 2.0% YoY. But the pick up was partly attributable to an earlier Mid-Autumn Festival this year, while online retail goods sales weakened to 1.8% YoY (vs. 2.3% in 2Q26), with Sept significantly decelerating to a near-stagnant 0.1% YoY.

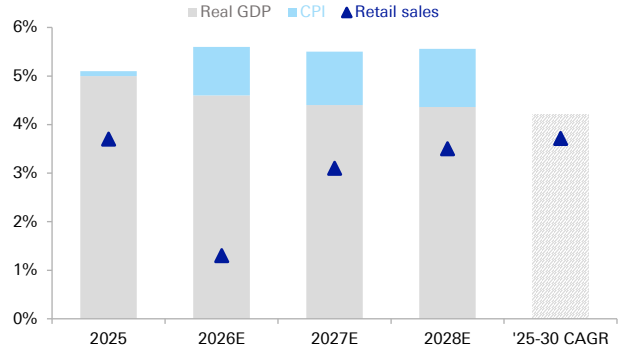
Notably, home appliances and electronics sales rebounded to a 0.6% YoY growth vs. 12.9% decline in the prior quarter, reflecting the easing of high-base pressure from the national trade-in program (launched in Sep 2024). Rising electronics prices are an issue however that is likely to hold back growth.

Figure 1: China retail sales growth recovered in Sept, likely benefited from early holidays



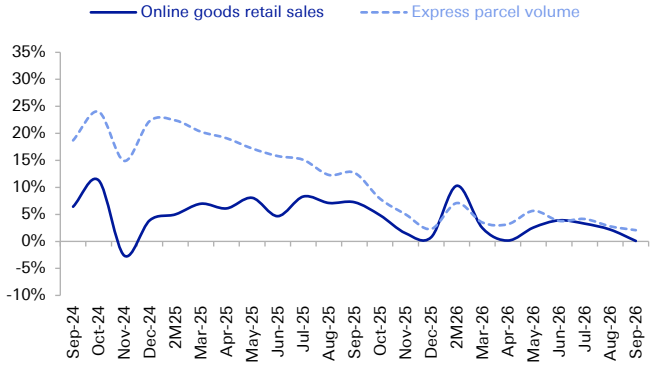
Source : NBS, Deutsche Bank

Figure 2: Retail sales growth estimates and policy targets are consistently below GDP (either in real or nominal term)



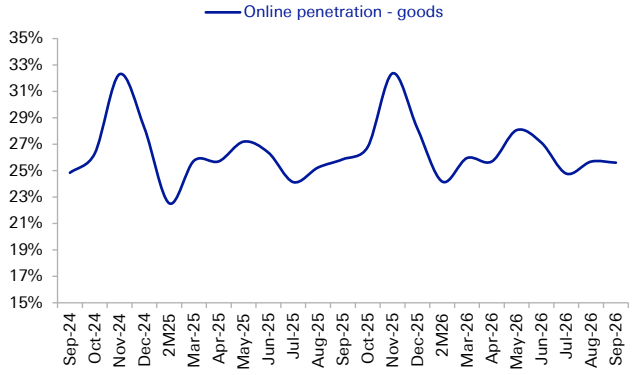
Source : NBS, NDRC, MofCom, Bloomberg Finance LP, Deutsche Bank (2026-2028E are BBG consensus)

Figure 3: Online goods retail sales growth slowed to 1.8% in 3Q26



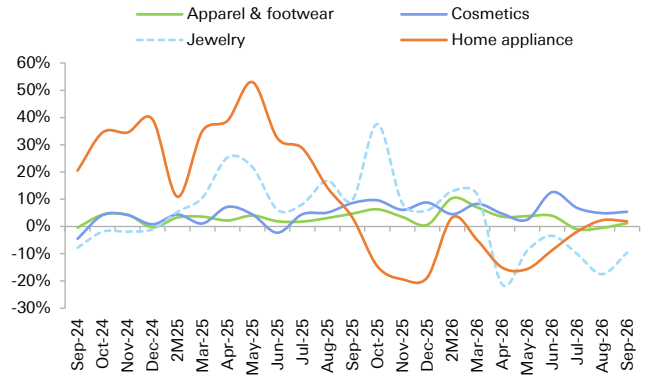
Source : NBS, SPB, Deutsche Bank

Figure 4: Online penetration rose 0.3% YoY to 25.4% in 3Q26



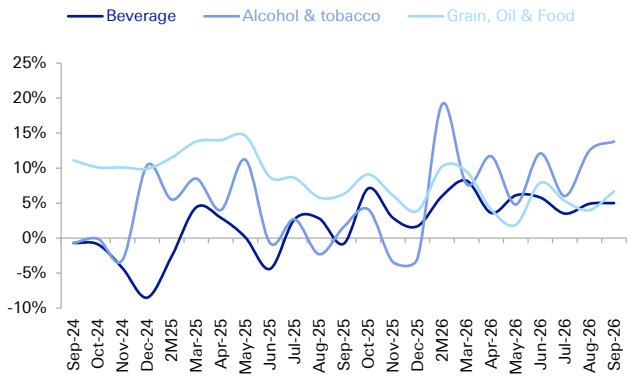
Source : NBS, Deutsche Bank

Figure 5: Home appliances sales back to positive growth in 3Q26 at 0.6% YoY



Source : NBS, Deutsche Bank

Figure 6: Food and beverages are more resilient



Source : NBS, Deutsche Bank

Figure 7: National trade-in scheme reduced subsidized categories and rebates for home appliances in 2026 vs 2025

		2026	2025
Home appliances			
Categories	Refrigerators	✓	✓
	Washing machines	✓	✓
	TVs	✓	✓
	Air conditioners	✓	✓
	Computers	✓	✓
	Water heaters	✓	✓
	Household cookers		✓
	Range hoods		✓
	Microwave ovens		✓
	Water purifiers		✓
	Dishwashers		✓
	Rice cookers		✓
Rebates		15% for Level 1 energy efficiency products, capped at RMB1.5k each	20% for Level 1 energy efficiency products and 15% for Level 2, capped at RMB2k each
Electronics			
Categories	Smartphones	✓	✓
	Tablets	✓	✓
	Smart watches/wristbands	✓	✓
	Smart glasses	✓	
Rebates		15% for items selling below RMB6k, capped at RMB500 each	15% for items selling below RMB6k, capped at RMB500 each

Source : NDRC, Deutsche Bank

Figure 8: GMV estimates by company vs. NBS online goods retail sales (YoY)

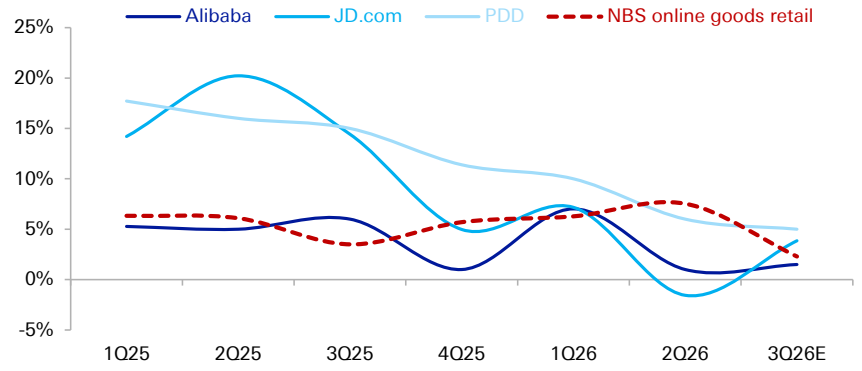


Figure 8: GMV estimates by company vs. NBS online goods retail sales (YoY)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E
GMV growth							
Alibaba	5.3%	5.0%	6.0%	1.0%	7.0%	1.0%	1.5%
JD.com	14.2%	20.2%	14.4%	5.0%	7.2%	-1.6%	3.9%
JD.com (1P)	16.0%	20.0%	10.0%	-3.0%	1.0%	-6.0%	3.0%
PDD	17.7%	16.0%	15.0%	11.4%	10.0%	6.0%	5.0%
NBS online goods retail	6.3%	6.1%	3.5%	5.7%	6.3%	7.5%	2.3%
Gap with NBS							
Alibaba	-1.1%	-1.1%	2.5%	-4.7%	0.7%	-6.5%	-0.8%
JD.com	7.9%	14.1%	10.9%	-0.7%	0.9%	-9.1%	1.6%
JD.com (1P)	9.7%	13.9%	6.5%	-8.7%	-5.3%	-13.5%	0.7%
PDD	11.4%	9.9%	11.5%	5.7%	3.7%	-1.5%	2.7%

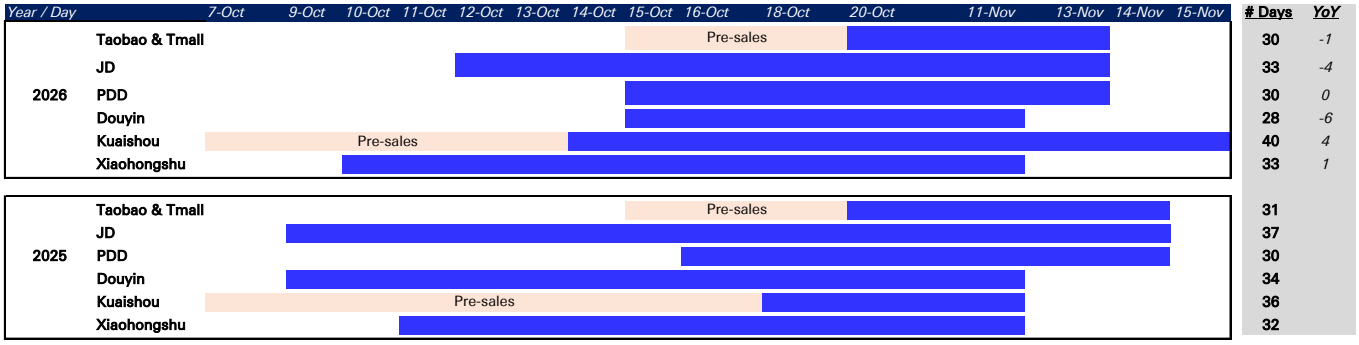
Source : Deutsche Bank estimates, NBS

This year's Double 11 promotion is already underway. Generally, we see a continued streamlining of strategies among major players, characterized by simpler discount mechanics (showing the final price up front), and a compressed promotional window (vs. last year's historically lengthened period), while the overall subsidy scale remains broadly stable.

Although we believe the event is unlikely to yield big surprises, preliminary data reflects positive traction: JD reported double-digit growth in purchasing users on its first day (Oct 12th), and Tmall saw both its participating brands and product offerings reach record highs.

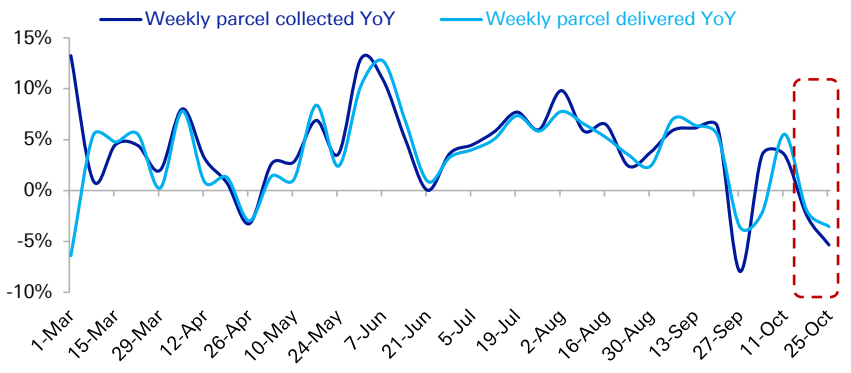
However, the weekly parcel volume data starting Oct 12th showed a YoY decline, with Week 3 parcels collected down 2.43% and Week 4 down 5.35%. This could be due to a weaker front-loading effect this year versus last year, or it may suggest that order momentum during the warm-up period is weaker than market expectations.

Figure 9: Double 11 timelines



Source : Deutsche Bank, Company releases

Figure 10: Parcel volume began sliding YoY in Week 3 & 4 of Oct

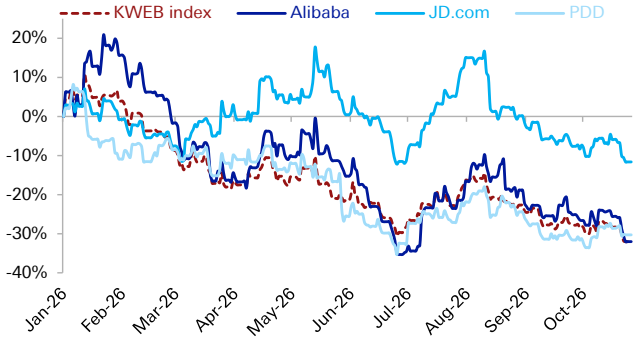


Source : MoT, Deutsche Bank

Sector share performance

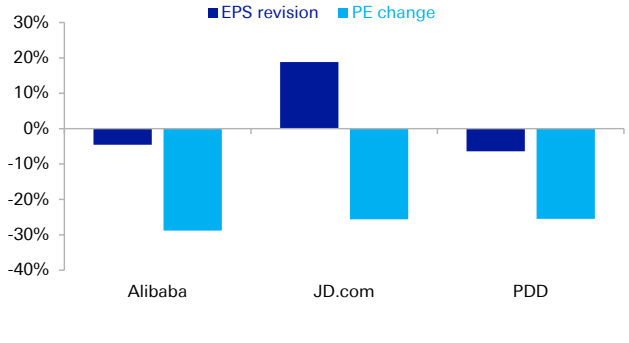
A combination of fundamental and capital flow headwinds continue to weigh on share performance. The recent correction is likely due to scaled-back market expectations for incremental stimulus policies following the release of September macro data. With the KWEB index down 33% YTD, it has reached an area of strong support, that it has only briefly dipped beneath in the last 10 years. Both JD.com and PDD now have the majority of their market cap covered by net cash. We expect the sector is bottoming, and looking for an excuse to rally from.

Figure 11: Sector trend remained weak...



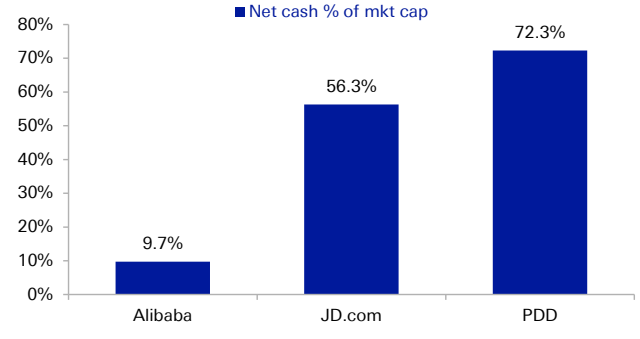
Source : Deutsche Bank, Bloomberg Finance LP

Figure 12: ...mainly dragged by multiples derating



Source : Deutsche Bank, Bloomberg Finance LP

Figure 13: PDD's mkt cap is 72% backed by net cash



Source : Deutsche Bank, Bloomberg Finance LP

On-demand delivery

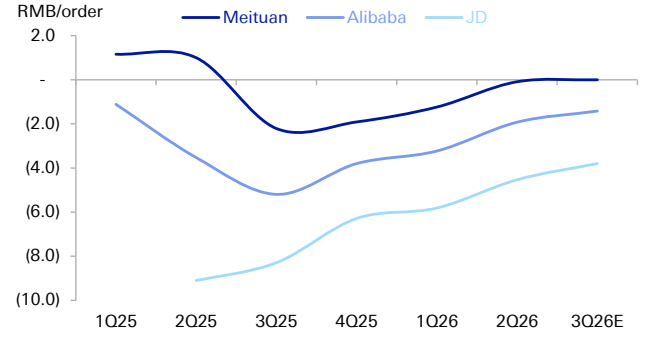
The on-demand delivery sector continues to show encouraging signs of improving unit economics across players, with the pace of earnings recovery tracking ahead of expectations this quarter, according to our channel checks.

Figure 14: On-demand delivery order volume & UE by quarter

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E
Operating loss (RMBmn)							
Meituan	7,177	7,006	(18,374)	(14,961)	(8,556)	(660)	(6)
Alibaba	(2,300)	(10,909)	(36,323)	(22,719)	(18,048)	(10,500)	(9,135)
JD		(14,077)	(13,736)	(10,989)	(7,852)	(6,600)	(5,940)
Avg daily order volume (mn)							
Meituan	69	77	90	85	77	82	91
Alibaba	23	34	76	65	62	60	70
JD		17	18	19	15	16	17
Unit economics (RMB/order)							
Meituan	1.2	1.0	(2.2)	(1.9)	(1.2)	(0.1)	(0.0)
Alibaba	(1.1)	(3.5)	(5.2)	(3.8)	(3.2)	(1.9)	(1.4)
JD		(9.1)	(8.3)	(6.3)	(5.8)	(4.5)	(3.8)
Market share by order volume							
Meituan	75%	60%	49%	50%	50%	52%	51%
Alibaba	25%	27%	41%	38%	40%	38%	39%
JD		13%	10%	11%	10%	10%	10%

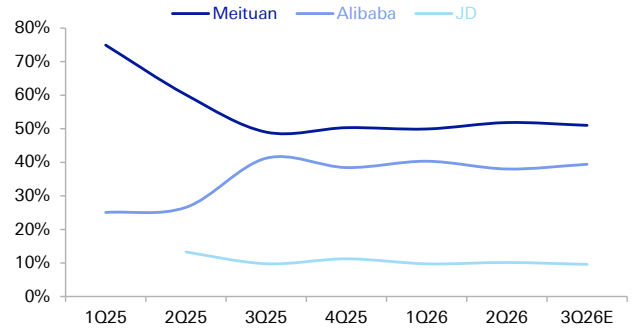
Source : Deutsche Bank estimates, company data, Bloomberg Finance LP
Note: Order volume includes both food delivery and non-food quick commerce; Meituan (3690.HK, uncovered) data come from BBG consensus

Figure 15: UE continues to improve across the industry



Source : Deutsche Bank estimates, company data, Bloomberg Finance LP

Figure 16: Market share structure is largely stable



Source : Deutsche Bank estimates, company data, Bloomberg Finance LP

Cross-border e-commerce

Following the removal of the de-minimis tax exemption in the US last May, the EU has introduced similar measures. A transitional tariff of EUR3 per item category per parcel has been applied to shipments under EUR150, effective for two years from July 1st. Subsequent to this, a more complex five-tier tariff system is slated to take effect once the EU's central customs data hub becomes operational. Additionally, **it has been confirmed that an extra permanent handling fee of EUR2 per item category per parcel will be applied from Nov 1st.**

This brings another challenging period for cross-border sellers, as rising operating costs are now visibly weighing on sales. According to Fable's bank card data, Temu's European GMV declined by 39% YoY (Figure 19) and Shein's by 24% YoY in 3Q26, despite a switch to semi-managed model and adopting oversea warehouses.

In addition to new tariffs, we see increasing focus on platform responsibility by the EU. This is evident through significant fines imposed under the Digital Services Act (DSA) for "failure to tackle illegal, unsafe, and counterfeit products", including EUR550m for AliExpress in July, EUR200m for Temu in May, and EUR120m for X last Dec. Shein is also reportedly under investigation for similar concerns.

Furthermore, starting Mar 2028, platforms will be held legally responsible as "deemed importers" for product safety and customs compliance, with up to 6% of the platform annual sales in EU as potential fines for violations. The EU has just accepted Temu's action plan to comply with the Digital Services Act – and it is our view that this regulatory pressure will require major change in Temu's sourcing – resulting in Temu's suppliers increasingly resembling those distributing to major offline chains.

3Q26 results preview

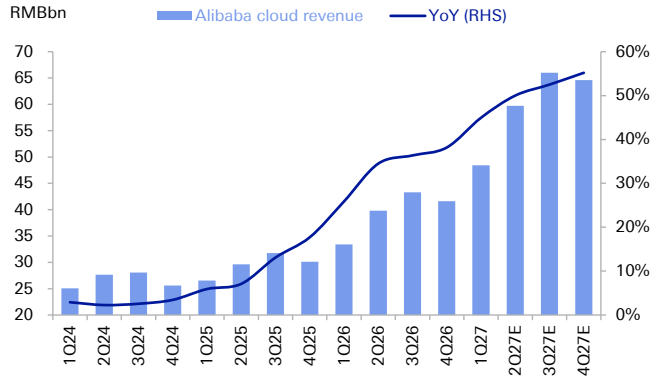
Alibaba

We expect group revenue to rise by 9.2% and non-GAAP EBITA to reach RMB30bn. Segment-wise, we have lowered our CMR assumptions to decline by 4.9%, due to 1) a lower estimated GMV growth of 1.5%, 2) a widening gap between GMV and CMR growths due to rebates to brand merchants (which have been recognized as contra revenue since Mar Q). Despite these cuts, the EBITA margin should trend better as quick commerce competition cools, where we expect the loss to narrow to around RMB9bn (vs. RMB10bn in Jun Q).

We forecast cloud revenue growth to further accelerate to 50% and EBITA margin to tick up sequentially to 12%, mainly driven by price rises at Alicloud (e.g., compute and storage) effective from April, a higher revenue contribution in the high-margin MaaS, and the continued adoption of proprietary T-head chips to help reduce costs.

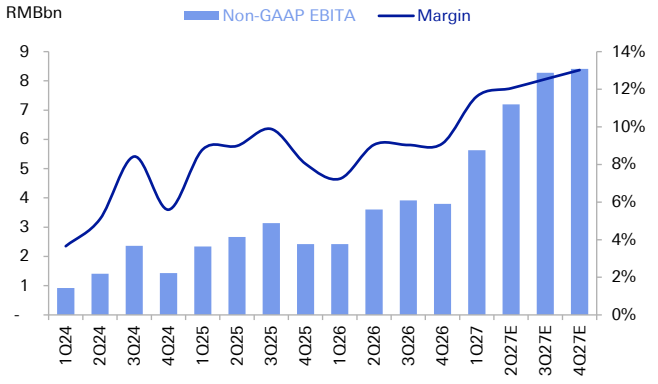
Since last quarter, the company started to disclose "AI Labs" segment financials, which primarily includes model training costs. We estimate an RMB11bn EBITA loss for the segment (vs. RMB14bn in Jun Q).

Figure 17: BABA's cloud revenue and YoY growth



Source : Company data, Deutsche Bank estimates

Figure 18: BABA's cloud non-GAAP EBITA and margin



Source : Company data, Deutsche Bank estimates

JD.com

Given that JD.com's home appliances and electronics business (~45% of group revenue) closely mirrors the national trend, we expect its 3Q26 revenue for this segment to be flat. Meanwhile, we forecast both 3P services and general merchandise revenue growth to accelerate to high single digits from the previous quarter's level. **Collectively, we estimate retail revenue growth of 2.9% and overall group revenue growth of 3.5%.**

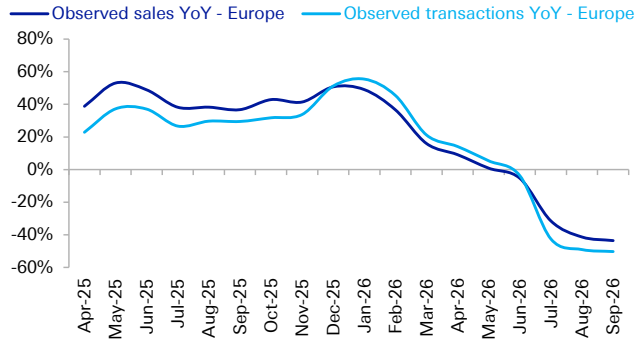
We also expect the retail margin to be flat at 5.9%, with a record-high gross margin offsetting elevated expenses on R&D and fulfillment. On New Initiatives, we expect the operating loss from food delivery to narrow by half to RMB5.9bn as competition cools, while loss from Jingxi and international business we expect to moderately expand to RMB3.6bn. Our non-GAAP net income estimate stands at RMB8.3bn.

PDD

We model PDD's revenue growth to further decelerate to 0% in the quarter, of

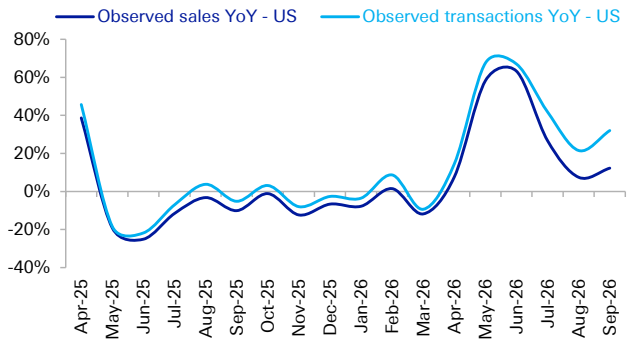
which 1) online marketing services to moderate to a 1% increase, impacted by soft consumer sentiment and the e-commerce tax, which in our view limits merchant ad spending and thus lowers the take rate, while we also lower our GMV estimates to 5%; and 2) transaction services to drop by 1%, primarily due to tariff hit on Temu Europe, and high base from DuoDuo Grocery's expansion following Meituan Select's exit.

Figure 19: Temu Europe sales declined 39% in 3Q26



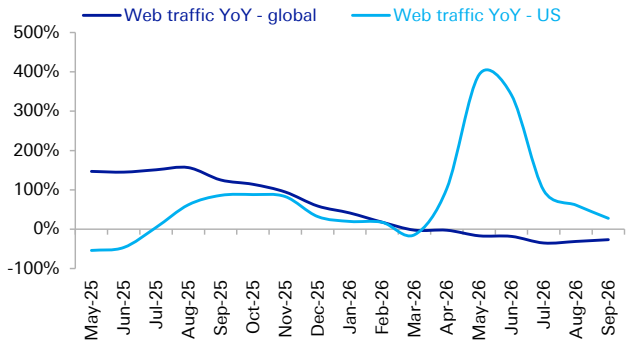
Source : Fable, Deutsche Bank

Figure 20: Temu US recovery momentum slowed as well



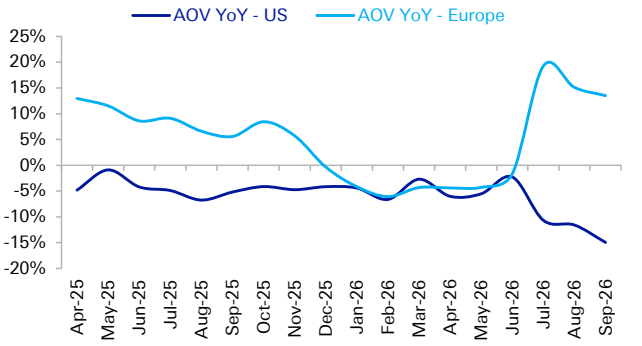
Source : Bloomberg Second Measure, Deutsche Bank

Figure 21: Global web traffic kept sliding



Source : Similarweb, Deutsche Bank

Figure 22: AOV trends diverged



Source : BloombergSecond Measure, Fable, Deutsche Bank

Key assumptions

Figure 23: Alibaba – Key assumptions

Rmb mn	FY24	FY25	FY26	FY27E	FY28E	FY29E	2Q26	3Q26	4Q26	1Q27	2Q27E
Revenue breakdown											
E-commerce Group	537,491	635,715	805,387	833,791	877,680	911,596	193,706	227,510	187,417	205,862	198,864
Cloud & Compute	106,374	118,028	158,132	238,779	346,230	484,722	39,824	43,284	41,626	48,437	59,736
AI Labs & Applications			12,184	14,387	17,265	20,718	2,989	3,099	3,214	3,338	3,505
All others	372,298	343,296	135,183	123,448	124,066	124,686	33,651	35,279	32,477	28,803	31,632
Unallocated	1,297	1,924	2,340	3,510	3,510	3,510	577	603	641	783	866
Consolidation adjustments	(76,292)	(102,616)	(89,556)	(94,034)	(94,034)	(94,034)	(22,952)	(24,932)	(21,995)	(18,270)	(24,100)
Total revenue	**941,168**	**996,347**	**1,023,670**	**1,119,882**	**1,274,716**	**1,451,198**	**247,795**	**284,843**	**243,380**	**268,953**	**270,503**
Revenue YoY%											
E-commerce Group	11.1%	18.3%	26.7%	3.5%	5.3%	3.9%	33.6%	21.5%	26.9%	3.5%	2.7%
Cloud & Compute	2.8%	11.0%	34.0%	51.0%	45.0%	40.0%	34.5%	36.4%	38.2%	44.9%	50.0%
AI Labs & Applications				18.1%	20.0%	20.0%				15.8%	17.3%
All others	8.4%	-7.8%	-60.6%	-8.7%	0.5%	0.5%	-60.8%	-61.0%	-61.6%	0.6%	-6.0%
Total revenue	**8.3%**	**5.9%**	**2.7%**	**9.4%**	**13.8%**	**13.8%**	**4.8%**	**1.7%**	**2.9%**	**8.6%**	**9.2%**

Rmb mn	FY24	FY25	FY26	FY27E	FY28E	FY29E	2Q26	3Q26	4Q26	1Q27	2Q27E
Non-GAAP EBITA											
E-commerce Group	186,792	181,095	113,717	163,618	184,515	204,165	12,675	34,843	26,211	39,749	38,684
Cloud & Compute	6,121	10,556	13,730	29,511	47,984	74,449	3,604	3,911	3,796	5,628	7,198
AI Labs & Applications			(34,314)	(45,492)	(40,943)	(38,895)	(4,030)	(8,060)	(19,000)	(13,861)	(11,089)
All others	(19,109)	(12,477)	(9,146)	(13,629)	(11,216)	(8,779)	(1,356)	(3,978)	(4,499)	(3,343)	(3,355)
Unallocated	(6,190)	(4,337)	(5,150)	(4,894)	(4,894)	(4,894)	(1,221)	(2,722)	(788)	(163)	(1,221)
Consolidated adjustments	(2,586)	(1,772)	(2,421)	(2,495)	(2,495)	(2,495)	(599)	(597)	(618)	(681)	(599)
Total	**165,028**	**173,065**	**76,416**	**126,619**	**172,951**	**223,550**	**9,073**	**23,397**	**5,102**	**27,329**	**29,618**
Non-GAAP EBITA margin											
E-commerce Group	34.8%	28.5%	14.1%	19.6%	21.0%	22.4%	6.5%	15.3%	14.0%	19.3%	19.5%
Cloud & Compute	5.8%	8.9%	8.7%	12.4%	13.9%	15.4%	9.0%	9.0%	9.1%	11.6%	12.0%
AI Labs & Applications			-281.6%	-316.2%	-237.1%	-187.7%				-415.2%	-316.4%
All others	-5.1%	-3.6%	-6.8%	-11.0%	-9.0%	-7.0%	-4.0%	-11.3%	-13.9%	-11.6%	-10.6%
Total	**17.5%**	**17.4%**	**7.5%**	**11.3%**	**13.6%**	**15.4%**	**3.7%**	**8.2%**	**2.1%**	**10.2%**	**10.9%**
Non-GAAP net profit	**157,479**	**158,122**	**60,658**	**113,577**	**151,270**	**195,370**	**10,352**	**16,710**	**86**	**20,715**	**28,354**
Non-GAAP net profit margin	16.7%	15.9%	5.9%	10.1%	11.9%	13.5%	4.2%	5.9%	0.0%	7.7%	10.5%

Source : Company data, Deutsche Bank estimates (Note: historical numbers are not adjusted for restatements)



Figure 24: JD – Key assumptions

Rmb mn	2024	2025	2026E	2027E	2028E	3Q25	4Q25	1Q26	2Q26	3Q26E
China total retail GMV (Rmb bn)	**43,758**	**45,141**	**46,947**	**48,778**	**50,631**	**10,801**	**12,113**	**11,770**	**11,090**	**11,123**
YoY%	4.2%	3.2%	4.0%	3.9%	3.8%	4.0%	2.7%	3.5%	2.0%	3.0%
Online retail GMV (Rmb bn)	**14,707**	**19,198**	**20,350**	**21,673**	**22,756**	**4,935**	**4,689**	**4,977**	**5,094**	**5,076**
YoY%	1.6%	30.5%	6.0%	6.5%	5.0%	43.9%	5.8%	8.0%	2.6%	2.8%
Express parcel volume (mn)	**175,091**	**198,950**	**222,824**	**245,106**	**264,715**	**49,430**	**53,870**	**47,730**	**52,650**	**50,910**
YoY%	21.5%	13.6%	12.0%	10.0%	8.0%	13.3%	5.0%	5.7%	4.2%	3.0%
Estimated JD market share, %	**25.4%**	**26.7%**	**23.1%**	**22.5%**	**22.1%**	**20.8%**	**28.4%**	**20.1%**	**21.9%**	**21.0%**
Revenue breakdown										
Product revenues	**928,007**	**1,023,802**	**1,030,969**	**1,067,053**	**1,109,735**	**226,092**	**272,987**	**244,819**	**267,115**	**232,875**
Electronics and home appliances	564,982	605,041				128,587	153,267	132,171	157,886	128,587
General merchandise	363,025	418,761				97,505	119,720	112,648	109,229	104,288
Service revenues	**230,812**	**285,283**	**312,069**	**338,003**	**362,714**	**72,967**	**79,297**	**70,875**	**79,286**	**76,592**
Marketplace and marketing	90,111	107,131	118,667	125,885	132,179	25,688	30,616	26,517	30,860	28,068
Logistics and other service	140,701	178,152	193,402	212,119	230,535	47,279	48,681	44,358	48,426	48,523
Total revenue	**1,158,819**	**1,309,085**	**1,343,038**	**1,405,056**	**1,472,448**	**299,059**	**352,284**	**315,694**	**346,401**	**309,467**
1P + 3P revenue	1,018,118	1,130,933	1,149,635	1,192,937	1,241,913	251,780	303,603	271,336	297,975	260,943
Revenue yoy%										
Product revenues	**6.5%**	**10.3%**	**0.7%**	**3.5%**	**4.0%**	**10.5%**	**-2.8%**	**1.0%**	**-5.4%**	**3.0%**
Electronics and home appliances	5%	7%				4.9%	-12.0%	-8.4%	-11.7%	0.0%
General merchandise	9%	15%				18.8%	12.1%	14.9%	5.5%	7.0%
Service revenues	**8.1%**	**23.6%**	**9.4%**	**8.3%**	**7.3%**	**30.8%**	**20.1%**	**20.6%**	**6.8%**	**5.0%**
Marketplace and marketing	6%	19%	11%	6%	5%	23.7%	15.0%	18.8%	8.3%	9.3%
Logistics and other service	9%	27%	9%	10%	9%	35.0%	23.6%	21.7%	5.9%	2.6%
Total revenue	**6.8%**	**13.0%**	**2.6%**	**4.6%**	**4.8%**	**14.9%**	**1.5%**	**4.9%**	**-2.9%**	**3.5%**
1P + 3P revenue	7%	11%	2%	4%	4%	11.7%	-1.3%	2.5%	-4.2%	3.6%
Revenue by segment										
JD Retail	1,015,948	1,126,399	1,136,989	1,176,236	1,222,043	250,577	301,902	268,588	295,383	257,890
JD Logistics	182,837	217,146	264,220	290,797	315,529	55,084	63,531	60,581	64,102	65,019
New businesses	19,157	49,282	31,558	37,504	41,714	15,592	14,085	6,279	7,260	9,355
Inter-segment	(59,123)	(83,742)	(89,730)	(99,481)	(106,838)	(22,194)	(27,234)	(19,754)	(20,344)	(22,797)
Total revenue	**1,158,819**	**1,309,085**	**1,343,038**	**1,405,056**	**1,472,448**	**299,059**	**352,284**	**315,694**	**346,401**	**309,467**
Revenue yoy%										
JD Retail	7%	11%	1%	3%	4%	11.4%	-1.7%	1.8%	-4.7%	2.9%
JD Logistics	10%	19%	22%	10%	9%	24.1%	21.9%	29.0%	24.3%	18.0%
New businesses	-28%	157%	-36%	19%	11%	213.7%	200.9%	9.1%	-47.6%	-40.0%
Total revenue	**6.8%**	**13.0%**	**2.6%**	**4.6%**	**4.8%**	**14.9%**	**1.5%**	**4.9%**	**-2.9%**	**3.5%**
Non-GAAP										
Operating profit	44,029	9,643	21,107	29,722	37,473	211	(3,128)	4,993	5,483	6,615
EBITDA	51,923	18,344	30,668	38,780	46,818	2,466	(823)	8,018	7,933	8,672
Net profit	47,827	27,032	31,367	35,993	40,821	5,796	1,084	7,379	8,930	8,362
Non-GAAP margins										
Operating profit	3.8%	0.7%	1.6%	2.1%	2.5%	0.1%	-0.9%	1.6%	1.6%	2.1%
EBITDA	4.5%	1.4%	2.3%	2.8%	3.2%	0.8%	-0.2%	2.5%	2.3%	2.8%
Net profit	4.1%	2.1%	2.3%	2.6%	2.8%	1.9%	0.3%	2.3%	2.6%	2.7%

Source : Company data, Deutsche Bank estimates



Figure 25: PDD – key assumptions

(Rmb mn)	2024	2025	2026E	2027E	2028E	3Q25	4Q25	1Q26	2Q26	3Q26E
China total retail GMV (Rmb bn)	**43,758**	**45,141**	**46,947**	**48,778**	**50,631**	**10,801**	**12,113**	**11,770**	**11,090**	**11,123**
YoY%	4.2%	3.2%	4.0%	3.9%	3.8%	4.0%	2.7%	3.5%	2.0%	3.0%
China online retail GMV (Rmb bn)	**14,707**	**19,198**	**20,350**	**21,673**	**22,756**	**4,935**	**4,689**	**4,977**	**5,094**	**5,076**
YoY%	1.6%	30.5%	6.0%	6.5%	5.0%	44.0%	5.8%	8.0%	2.6%	2.8%
China express parcel volume (mn)	**175,091**	**198,950**	**222,824**	**245,106**	**267,166**	**49,430**	**53,870**	**47,730**	**52,650**	**50,910**
YoY%	21.5%	13.6%	12.0%	10.0%	9.0%	13.3%	5.0%	5.7%	4.2%	3.0%
Estimated PDD market share, %	**35.9%**	**31.6%**	**31.9%**	**31.8%**	**31.4%**	**27.9%**	**45.9%**	**25.8%**	**28.8%**	**28.5%**
Revenue										
Online marketing services	**197,934**	**217,783**	**222,951**	**237,177**	**246,902**	**53,348**	**60,010**	**49,936**	**57,637**	**53,980**
Transaction services	**195,902**	**214,063**	**232,016**	**258,915**	**277,667**	**54,929**	**63,902**	**56,293**	**54,721**	**54,147**
Payment processing	42,777	47,209	49,098	52,231	54,074	12,919	14,683	8,785	11,392	13,294
Duo Duo Grocery	29,363	34,611	39,803	42,987	45,136	10,500	9,289	8,745	9,553	11,550
Temu	121,659	127,991	138,652	159,144	173,813	31,040	37,213	37,557	33,442	28,809
Total revenue	**393,836**	**431,846**	**454,967**	**496,092**	**524,569**	**108,277**	**123,912**	**106,229**	**112,358**	**108,127**
Revenue YoY%										
Online marketing services	**29%**	**10%**	**2%**	**6%**	**4%**	**8%**	**5%**	**2%**	**3%**	**1%**
Transaction services	**108%**	**9%**	**8%**	**12%**	**7%**	**10%**	**19%**	**20%**	**13%**	**-1%**
Payment processing	83%	10%	4%	6%	4%	28%	15%	7%	0%	3%
Duo Duo Grocery	32%	18%	15%	8%	5%	41%	28%	30%	18%	10%
Temu	162%	5%	8%	15%	9%	-1%	3%	19%	19%	-7%
Total revenue	**59%**	**10%**	**5%**	**9%**	**6%**	**9%**	**12%**	**11%**	**8%**	**0%**
Revenue mix										
Online marketing services	**50%**	**50%**	**49%**	**48%**	**47%**	**49%**	**48%**	**47%**	**51%**	**50%**
Transaction services	**50%**	**50%**	**51%**	**52%**	**53%**	**51%**	**52%**	**53%**	**49%**	**50%**
Payment processing	11%	11%	11%	11%	10%	12%	12%	8%	10%	12%
Duo Duo Grocery	7%	8%	9%	9%	9%	10%	7%	8%	9%	11%
Temu	31%	30%	30%	32%	33%	29%	30%	35%	30%	27%
Gross margin										
Main business & Duo Duo Grocery	73%	70%	69%	69%	68%	69%	69%	70%	70%	69%
Temu	34%	24%	27%	28%	29%	25%	24%	30%	28%	25%
Overall GPM	**61%**	**56%**	**56%**	**56%**	**55%**	**57%**	**55%**	**56%**	**57%**	**57%**
Non-GAAP										
Operating income	118,306	102,561	105,858	108,887	108,759	27,079	29,474	21,090	29,071	27,190
EBITDA	119,015	103,163	106,486	109,521	109,399					
Net income	122,344	107,301	98,580	100,180	102,017	31,382	26,295	14,071	28,489	27,315
YoY%										
Operating income	79.9%	-13.3%	3.2%	2.9%	-0.1%	1.2%	5.3%	15.5%	4.8%	0.4%
EBITDA	78.8%	-13.3%	3.2%	2.9%	-0.1%					
Net income	80.2%	-12.3%	-8.1%	1.6%	1.8%	14.3%	-11.9%	-16.8%	-12.9%	-13.0%
Non-GAAP margins										
Operating income	30.0%	23.7%	23.3%	21.9%	20.7%	25.0%	23.8%	19.9%	25.9%	25.1%
EBITDA	30.2%	23.9%	23.4%	22.1%	20.9%					
Net income	31.1%	24.8%	21.7%	20.2%	19.4%	29.0%	21.2%	13.2%	25.4%	25.3%

Source : Company data, Deutsche Bank estimates

Earnings forecasts and revisions

Alibaba

We have trimmed our revenue estimates for E-commerce Group due to weaker-than-expected industry GMV growth. We also lower the "All others" revenue to reflect the Lingxi disposal impact.

Regarding the bottom line, we have incorporated faster progress in food delivery loss reduction and moderated AI model training costs. These factors lead to an upward revision of our non-GAAP net profit estimates by 7% for FY27E and 2% for FY28E.

Figure 26: Alibaba - Deutsche Bank earnings forecast revisions

Rmb mn	New			Previous			Change		
	FY27E	FY28E	FY29E	FY27E	FY28E	FY29E	FY27E	FY28E	FY29E
Total GMV	**9,104**	**9,395**	**9,677**	**9,175**	**9,496**	**9,781**	**-1%**	**-1%**	**-1%**
Growth %	2.7%	3.2%	3.0%	3.5%	3.5%	3.0%	-0.8pp	-0.3pp	0.0pp
Total Revenue	**1,119,882**	**1,274,716**	**1,451,198**	**1,128,288**	**1,288,975**	**1,465,718**	**-1%**	**-1%**	**-1%**
E-com Group	833,791	877,680	911,596	837,466	887,183	921,338	0%	-1%	-1%
Cloud	238,779	346,230	484,722	238,779	346,230	484,722	0%	0%	0%
AI Labs	14,387	17,265	20,718	14,387	17,265	20,718	0%	0%	0%
All others	123,448	124,066	124,686	128,180	128,821	129,465	-4%	-4%	-4%
Growth %	9.4%	13.8%	13.8%	10.2%	14.2%	13.7%	-0.8pp	-0.4pp	0.1pp
Gross Profit	**453,520**	**518,617**	**597,444**	**445,577**	**518,060**	**602,432**	2%	0%	-1%
Gross margin, %	40.5%	40.7%	41.2%	39.5%	40.2%	41.1%	1.0pp	0.5pp	0.1pp
Non-GAAP EBITA	**126,619**	**172,951**	**223,550**	**116,219**	**168,527**	**224,797**	9%	3%	-1%
E-com Group	163,618	184,515	204,165	158,783	185,058	207,783	3%	0%	-2%
Cloud	29,511	47,984	74,449	29,511	47,984	74,449	0%	0%	0%
AI Labs	(45,492)	(40,943)	(38,895)	(50,542)	(45,488)	(40,939)	-10%	-10%	-5%
All others	(13,629)	(11,216)	(8,779)	(14,143)	(11,638)	(9,107)	-4%	-4%	-4%
Growth %	65.7%	36.6%	29.3%	52.1%	45.0%	33.4%	13.6pp	-8.4pp	-4.1pp
Operating profit (Non-GAAP)	**122,047**	**168,837**	**219,848**	**111,648**	**164,413**	**221,094**	**9%**	**3%**	**-1%**
OP margin, Non-GAAP %	10.9%	13.2%	15.1%	9.9%	12.8%	15.1%	1.0pp	0.5pp	0.1pp
Net Income (Non-GAAP)	**113,577**	**151,270**	**195,370**	**105,881**	**147,767**	**195,859**	7%	2%	0%
Net margin, Non-GAAP, %	10.1%	11.9%	13.5%	9.4%	11.5%	13.4%	0.8pp	0.4pp	0.1pp
EPS (RMB) Non-GAAP	**46.17**	**60.41**	**76.66**	**43.04**	**59.01**	**76.85**	**7%**	**2%**	**0%**

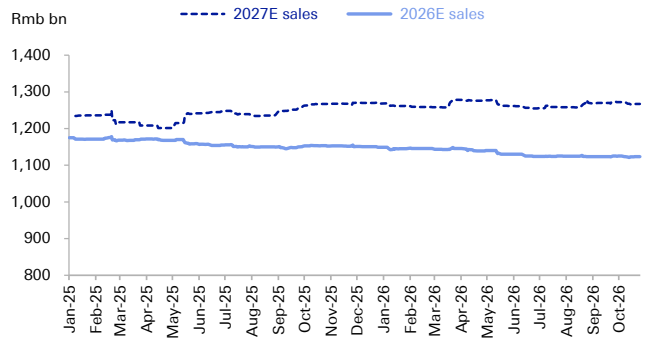
Source : Deutsche Bank estimates

Figure 27: Alibaba - Deutsche Bank forecasts vs. consensus

Rmb mn	DB forecast			BBG consensus			DB vs. consensus		
	FY27E	FY28E	FY29E	FY27E	FY28E	FY29E	FY27E	FY28E	FY29E
Revenues	**1,119,882**	**1,274,716**	**1,451,198**	**1,123,235**	**1,266,924**	**1,448,206**	**0%**	**1%**	**0%**
E-com Group	833,791	877,680	911,596	823,565	866,967	907,698	1%	1%	0%
Cloud	238,779	346,230	484,722	237,876	351,354	505,766	0%	-1%	-4%
AI Labs	14,387	17,265	20,718	14,847	17,975	22,271	-3%	-4%	-7%
All others	123,448	124,066	124,686	120,672	122,825	125,331	2%	1%	-1%
Gross profit	**453,520**	**518,617**	**597,444**	**438,764**	**509,523**	**599,249**	**3%**	**2%**	**0%**
Gross margin	40%	41%	41%	39%	40%	41%	1.4pp	0.5pp	-0.2pp
Core net profit	**113,577**	**151,270**	**195,370**	**106,546**	**149,755**	**190,509**	**7%**	**1%**	**3%**
Core net margin	10.1%	11.9%	13.5%	9.5%	11.8%	13.2%	0.7pp	0.0pp	0.3pp
Adj EPS (Rmb)	46.17	60.41	76.66	43.43	60.73	77.50	6%	-1%	-1%

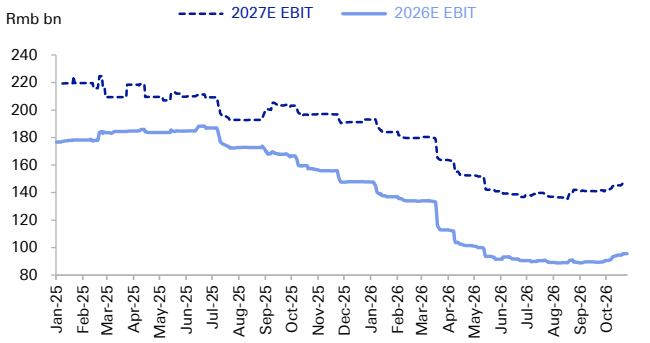
Source : Deutsche Bank estimates, Bloomberg Finance LP

Figure 28: Alibaba – BBG consensus revenue



Source : Bloomberg Finance LP, Deutsche Bank

Figure 29: Alibaba – BBG consensus EBIT



Source : Bloomberg Finance LP, Deutsche Bank

JD.com

We have trimmed our 2026 group revenue estimate by 1% and by 2% in 2027 and 2028. With retail trends being weak, we believe it will be challenging for the company to meet its FY guidance of high-single digits. Our non-GAAP net profit estimates are also revised down by 5%-2% for 2026-'28E.

Figure 30: JD.com - Deutsche Bank earnings forecast revisions

(Rmb mn)	Current			Previous			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total GMV (Rmb bn)	**4,586**	**4,783**	**5,000**	**4,605**	**4,789**	**5,006**	**0%**	**0%**	**0%**
Growth %	4%	4%	5%	4%	4%	5%	-0.4pp	0.3pp	0.0pp
Total Revenue	**1,343,038**	**1,405,056**	**1,472,448**	**1,358,726**	**1,431,398**	**1,502,247**	**-1%**	**-2%**	**-2%**
Growth %	3%	5%	5%	4%	5%	5%	-1.2pp	-0.7pp	-0.2pp
Gross Profit	**228,906**	**242,005**	**255,821**	**231,580**	**246,542**	**260,999**	**-1%**	**-2%**	**-2%**
Gross margin, %	17%	17%	17%	17%	17%	17%	0.0pp	0.0pp	0.0pp
Operating profit (Non-GAAP)	**21,107**	**29,722**	**37,473**	**20,235**	**29,742**	**37,658**	4%	0%	0%
OP margin, Non-GAAP %	1.6%	2.1%	2.5%	1.5%	2.1%	2.5%	0.1pp	0.0pp	0.0pp
Net Income (GAAP)	**24,393**	**29,741**	**35,157**	**25,464**	**30,147**	**35,700**	**-4%**	**-1%**	**-2%**
Net margin, %	1.8%	2.1%	2.4%	1.9%	2.1%	2.4%	-6%	0.0pp	0.0pp
Net Income (Non-GAAP)	**31,367**	**35,993**	**40,821**	**32,997**	**36,982**	**41,617**	**-5%**	**-3%**	**-2%**
Net margin, Non-GAAP, %	2.3%	2.6%	2.8%	2.4%	2.6%	2.8%	-9%	0.0pp	0.0pp
EPADS GAAP (Rmb)	**16.38**	**19.97**	**23.61**	**17.10**	**20.25**	**23.98**	**-4%**	**-1%**	**-2%**
EPADS Non-GAAP (Rmb)	**21.07**	**24.17**	**27.42**	**22.16**	**24.84**	**27.95**	**-5%**	**-3%**	**-2%**

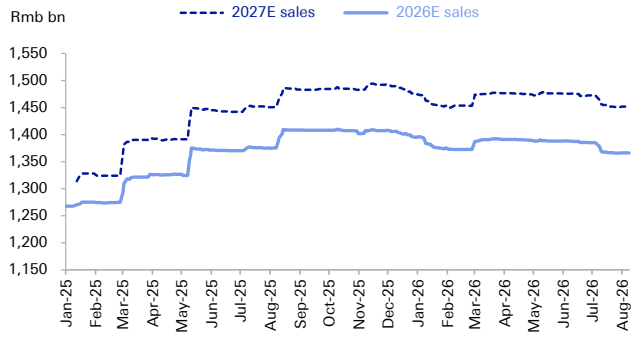
Source : Deutsche Bank estimates

Figure 31: JD.com - Deutsche Bank forecasts vs. consensus

(Rmb mn)	DB forecast			BBG consensus			DB vs. consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total GMV (Rmb bn)	**4,586**	**4,783**	**5,000**	**4,477**	**4,714**	**4,931**	**2%**	**1%**	**1%**
Growth %	3.6%	4.3%	4.5%	1.1%	5.3%	4.6%	2.5pp	-1.0pp	-0.1pp
Revenues	**1,343,038**	**1,405,056**	**1,472,448**	**1,346,221**	**1,424,941**	**1,494,796**	**0%**	**-1%**	**-1%**
Gross profit	**228,906**	**242,005**	**255,821**	**226,097**	**239,841**	**259,320**	**1%**	**1%**	**-1%**
Gross margin	17.0%	17.2%	17.4%	16.8%	16.8%	17.3%	0.2pp	0.4pp	0.0pp
Operating profit	**16,422**	**24,727**	**32,583**	**17,130**	**29,972**	**40,661**	-4%	-17%	-20%
Operating margin	1%	2%	2%	1%	2%	3%	0.0pp	-0.3pp	-0.5pp
Net profit	**24,393**	**29,741**	**35,157**	**24,901**	**34,265**	**41,828**	-2%	-13%	-16%
Net margin	2%	2%	2%	2%	2%	3%	0.0pp	-0.3pp	-0.4pp
Core net profit	**31,367**	**35,993**	**40,821**	**30,318**	**39,421**	**47,127**	**3%**	**-9%**	**-13%**
Core net margin	2.3%	2.6%	2.8%	2.3%	2.8%	3.2%	0.1pp	-0.2pp	-0.4pp
Adj EPADS (Rmb)	21.07	24.17	27.42	21.07	27.37	33.15	0%	-12%	-17%

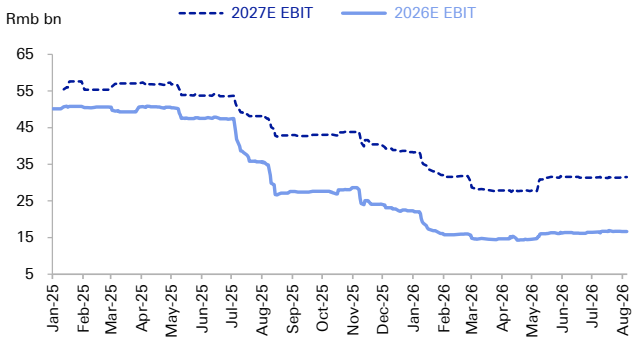
Source : Deutsche Bank estimates, Bloomberg Finance LP

Figure 32: JD.com – BBG consensus revenue



Source : Bloomberg Finance LP, Deutsche Bank

Figure 33: JD.com – BBG consensus EBIT



Source : Bloomberg Finance LP, Deutsche Bank

PDD

Our estimates are broadly lower to reflect soft domestic consumer trend and tariff hit on the international business.

Figure 34: PDD - Deutsche Bank's earnings forecast revisions

Rmb mn	Current			Previous			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total GMV (Rmb bn)	**6,483**	**6,903**	**7,152**	**6,601**	**7,028**	**7,282**	**-2%**	**-2%**	**-2%**
Growth %	7%	6%	4%	9%	6%	4%	-1.9pp	0.0pp	0.0pp
Total Revenue	**454,967**	**496,092**	**524,569**	**463,636**	**505,604**	**534,666**	**-2%**	**-2%**	**-2%**
Growth %	5%	9%	6%	7%	9%	6%	-2.0pp	0.0pp	0.0pp
Online marketing services	222,951	237,177	246,902	227,238	241,738	251,650	-2%	-2%	-2%
Transaction services	232,016	258,915	277,667	236,398	263,865	283,017	-2%	-2%	-2%
Gross Profit	**256,801**	**276,549**	**290,148**	**261,357**	**281,486**	**295,353**	**-2%**	**-2%**	**-2%**
Gross margin, %	56.4%	55.7%	55.3%	56.4%	55.7%	55.2%	0.1pp	0.1pp	0.1pp
Operating profit (GAAP)	**98,472**	**101,677**	**102,090**	**100,011**	**103,261**	**103,676**	**-2%**	**-2%**	**-2%**
OP margin, %	21.6%	20.5%	19.5%	21.6%	20.4%	19.4%	0.1pp	0.1pp	0.1pp
Operating profit (Non-GAAP)	**105,858**	**108,887**	**108,759**	**107,538**	**110,609**	**110,474**	**-2%**	**-2%**	**-2%**
OP margin, Non-GAAP %	23.3%	21.9%	20.7%	23.2%	21.9%	20.7%	0.1pp	0.1pp	0.1pp
Net Income (GAAP)	**91,194**	**92,970**	**95,347**	**92,456**	**94,257**	**96,660**	**-1%**	**-1%**	**-1%**
Net margin, %	20.0%	18.7%	18.2%	19.9%	18.6%	18.1%	0.1pp	0.1pp	0.1pp
Net Income (Non-GAAP)	**98,580**	**100,180**	**102,017**	**99,983**	**101,606**	**103,458**	**-1%**	**-1%**	**-1%**
Net margin, Non-GAAP, %	21.7%	20.2%	19.4%	21.6%	20.1%	19.3%	0.1pp	0.1pp	0.1pp
EPS (RMB) GAAP	**61.52**	**62.72**	**64.32**	**62.37**	**63.58**	**65.21**	-1%	-1%	-1%
EPS (RMB) Non-GAAP	**66.50**	**67.58**	**68.82**	**67.45**	**68.54**	**69.79**	-1%	-1%	-1%

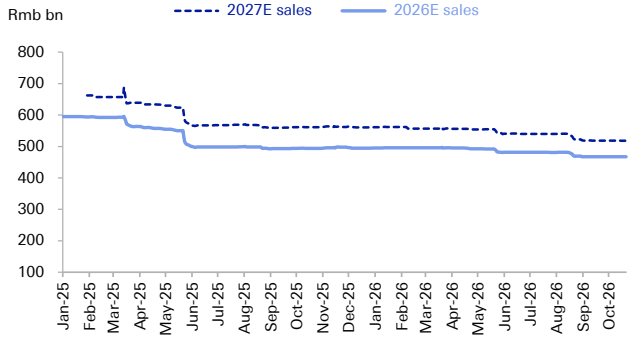
Source : Deutsche Bank estimates

Figure 35: PDD - Deutsche Bank's forecasts vs. consensus

Rmb mn	DB forecast			BBG consensus			DB vs. consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	**454,967**	**496,092**	**524,569**	**467,321**	**518,171**	**568,905**	**-3%**	**-4%**	**-8%**
Online marketing services	222,951	237,177	246,902	227,897	246,312	264,672	-2%	-4%	-7%
Transaction services	232,016	258,915	277,667	238,575	271,836	303,061	-3%	-5%	-8%
Gross profit	**256,801**	**276,549**	**290,148**	**264,135**	**293,260**	**326,581**	**-3%**	**-6%**	**-11%**
Gross margin	56%	56%	55%	57%	57%	57%	-0.1pp	-0.8pp	-2.1pp
Operating profit	**98,472**	**101,677**	**102,090**	**105,383**	**120,790**	**139,116**	**-7%**	**-16%**	**-27%**
Operating margin	22%	20%	19%	23%	23%	24%	-0.9pp	-2.8pp	-5.0pp
Net profit	**91,194**	**92,970**	**95,347**	**95,580**	**115,220**	**132,479**	**-5%**	**-19%**	**-28%**
Net margin	20%	19%	18%	20%	22%	23%	-0.4pp	-3.5pp	-5.1pp
Core net profit	**98,580**	**100,180**	**102,017**	**100,837**	**122,329**	**140,948**	**-2%**	**-18%**	**-28%**
Core net margin	22%	20%	19%	22%	24%	25%	0.1pp	-3.4pp	-5.3pp
Adj EPS (Rmb)	66.50	67.58	68.82	75.45	68.72	82.71	-12%	-2%	-17%

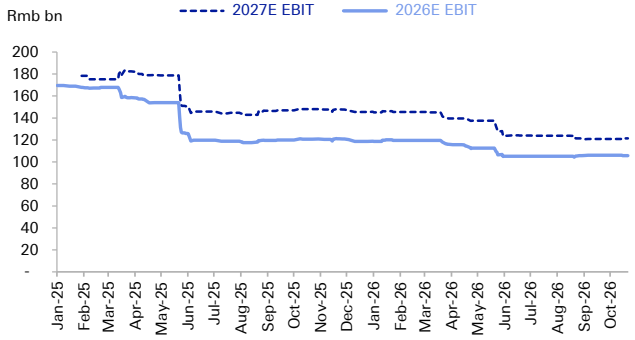
Source : Deutsche Bank estimates, Bloomberg Finance LP

Figure 36: PDD – BBG consensus sales



Source : Bloomberg Finance LP, Deutsche Bank

Figure 37: PDD – BBG consensus EBIT



Source : Bloomberg Finance LP, Deutsche Bank

Valuation and risks

Alibaba

We use a DCF method to value BABA, while providing SOTP for cross checking. Our key WACC assumptions include: a 1.8% risk-free rate, a 1.15 beta, and a 6% market risk premium. We use a 1.0% terminal growth rate to reflect its growth potential in AI. Our DCF-based TP implies a FY27E P/E of 27.4x and FY28E P/E of 20.9x.

Risks: (1) Wider-than-expected loss from AI and quick commerce investments, (2) macroeconomic slowdown, (3) regulatory uncertainties, (4) intensifying competition from global/local e-commerce platforms, (5) the inability to expand or monetize the e-commerce and AliCloud businesses, and (6) FX volatility.

JD.com

We use a DCF method to value JD. Our key WACC assumptions include: a 1.8% risk-free rate, a 1.2 beta, and a 6% market risk premium. Our terminal growth rate of -1.7% is calculated by the risk-free rate less term premium (2%) and productivity fade (1.5%). Our DCF-based TP implies a 2026E P/E of 13.0x.

Risks: (1) Pressure on the e-commerce business from weak demand and stronger competition, (2) a slower-than-expected recovery of growth in user activity, (3) margin pressure from a higher mix of low-tier markets and low-ASP orders, and (4) a longer-than-expected investment period for new initiatives.

PDD

We use a DCF method to value PDD. Our key WACC assumptions include: a 1.8% risk-free rate, a 1.5 beta, and a 6% market risk premium. Our terminal growth rate of -1.7% is calculated by the risk-free rate less term premium (2%) and productivity fade (1.5%). Our DCF-based TP implies a 2026E P/E of 10.7x.

Downside risks include: (1) any potential change in regulations in China; (2) a slowdown in MAU and active user growth, (3) failure to monetize search/feed advertising from merchants, (4) loss of merchants due to fierce competition, and (5) Increasing difficulty of monetizing Temu due to tighter regulation in major markets.

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Figure 38: Alibaba – DCF valuation table

DCF analysis	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Revenue	941,168	996,347	1,023,670	1,119,882	1,274,716	1,451,198	1,628,185	1,778,023	1,910,692	2,015,457	2,081,553
YoY %		5.9%	2.7%	9.4%	13.8%	13.8%	12.2%	9.2%	7.5%	5.5%	3.3%
EBIT	113,350	140,905	50,150	106,582	156,308	207,723	263,652	315,436	359,166	394,667	414,034
EBIT margin	12.0%	14.1%	4.9%	9.5%	12.3%	14.3%	16.2%	17.7%	18.8%	19.6%	19.9%
EBIT*(1-t)	90,680	112,724	40,120	85,265	125,046	166,178	210,922	252,348	287,332	315,734	331,227
YoY %		24%	-64%	113%	47%	33%	27%	20%	14%	10%	5%
D&A	44,504	35,596	42,146	50,721	82,139	121,554	151,839	147,392	138,759	125,795	129,598
Change in working capital	-4,221	-10,705	-23,745	-18,485	9,795	10,292	5,745	-50	-2,773	-1,994	2,220
Capex	-32,929	-85,972	-126,063	-198,219	-225,625	-256,862	-244,228	-231,143	-210,176	-221,700	-228,971
Non-cash operating items	18,546	13,970	11,180	11,008	12,530	12,125	11,563	10,733	9,804	8,790	7,717
Operating free cash flow	**116,580**	**65,613**	**-56,362**	**-69,710**	**3,886**	**53,288**	**135,841**	**179,280**	**222,946**	**226,625**	**241,791**
Discounted FCF				**-67,436**	**3,474**	**44,011**	**103,678**	**126,446**	**145,447**	**136,464**	**134,545**

Equity value	
PV of FCF	626,630
Terminal value	3,385,209
NPV of terminal value	**1,883,708**
Enterprise value	**2,510,338**
Net cash	603,791
Equity value, RMBmn	3,114,128
USD/CNY	6.80
Equity value, USDmn	**457,711**
ADS outstanding (mn)	2,460
Equity value (USD/shr)	**USD 186**
Current price (USD/shr)	**USD 100**
Up/(down)side	86%
HKD/USD	7.80
Equity value, HKDmn	**3,570,146**
Shares outstanding (mn)	19,679
Equity value (HKD/shr)	**HKD 181**
Current price (HKD/shr)	**HKD 97**
Up/(down)side	87%

Assumptions	
Cost of equity	8.7%
Cost of debt	4.8%
WACC	8.2%
Terminal growth rate, %	1.0%
Risk free rate	1.80%
Equity risk premium	6.0%
Beta	1.15
Tax rate	20%
Target debt/capital ratio	10%

Source : Company data, Deutsche Bank estimates

Figure 39: Alibaba - SOTP for cross checking

Segment	Methodology	Value, RMBmn	Multiple, x	Valuation (US$mn)	Ownership	Equity value (US$mn)	% of total	Value/ADS
E-com group	FY27 P/E	135,803	8.0x	159,681	100%	159,681	37%	USD 66
Cloud & compute	FY27 P/S	238,779	5.0x	175,478	100%	175,478	40%	USD 73
AI labs & applications	FY27 P/S	14,387	5.0x	10,573	100%	10,573	2%	USD 4
All others	FY27 P/S	123,448	0.5x	9,072	100%	9,072	2%	USD 4
Equity investments	FY27E	678,281	0.8x	79,754	100%	79,754	18%	USD 33
Net cash	FY27E	88,297	0.8x	10,382	100%	10,382	2%	USD 4
Minority interest	FY27E	56,074	1.0x	8,242	-100%	-8,242	-2%	(USD 3)
Total valuation (US$mn)						**436,699**		

	BABA US	9988 HK
Value per share	**USD 182.0**	**HKD 177.0**
Latest price	USD 100.25	HKD 97.00
Up/(down)side	82%	82%
Implied FY27E P/E	26.8x	26.8x
Implied FY28E P/E	20.5x	20.4x

Source : Company data, Deutsche Bank estimates

Figure 40: JD - DCF valuation table

Rmb mn	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Revenue	1,309,085	1,343,038	1,405,056	1,472,448	1,528,192	1,579,668	1,624,006	1,662,835	1,695,732
YoY %		2.6%	4.6%	4.8%	3.8%	3.4%	2.8%	2.4%	2.0%
EBIT	2,774	16,422	24,727	32,583	38,436	43,711	48,211	51,049	53,773
EBIT margin	0.2%	1.2%	1.8%	2.2%	2.5%	2.8%	3.0%	3.1%	3.2%
EBIT*(1-t)	2,081	12,316	18,545	24,437	28,827	32,783	36,159	38,287	40,329
YoY %		492.0%	50.6%	31.8%	18.0%	13.7%	10.3%	5.9%	5.3%
D&A	9,747	9,973	10,104	10,391	10,592	10,756	10,866	10,934	10,960
Change in working capital	758	-3,787	4,527	4,960	3,465	2,788	1,820	1,069	305
Capex		-18,489	-23,542	-23,179	-24,048	-24,854	-25,554	-26,172	-26,703
Non-cash operating items		4,043	3,948	3,843	3,989	4,123	4,239	4,340	4,426
Operating free cash flow		**4,055**	**13,583**	**20,453**	**22,825**	**25,596**	**27,529**	**28,458**	**29,318**
Discounted FCF		**4,000**	**12,367**	**17,194**	**17,706**	**18,329**	**18,199**	**17,386**	**16,513**

Equity value	
PV of FCF	121,693
Terminal value	287,475
NPV of terminal value	161,916
Enterprise value	**283,609**
Net cash	123,096
Equity value (Rmb mn)	406,705
Equity value (US$mn)	**59,511**
Equity value (US$/shr)	**USD 40**
Current price (US$/shr)	USD 25.24
Up/(down)side	58%
Equity value (HK$mn)	**464,186**
Equity value (HK$/shr)	**HKD 156**
Current price (HK$/shr)	HKD 99.05
Up/(down)side	57%

Assumptions	
Cost of equity	9.0%
Cost of debt	6.0%
Risk free rate	1.80%
Equity risk premium	6.0%
Beta	1.20
Tax rate	25%
Target debt/capital ratio	15%
WACC	8.3%
Risk free rate	1.80%
(-) Term premium	2.0%
(-) Discount for over-earning	0.0%
(-) Productivity fade	1.5%
Terminal growth rate	**-1.7%**

Source : Company data, Deutsche Bank estimates

Figure 41: PDD – DCF valuation table

Rmb mn	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Revenue	431,846	454,967	496,092	524,569	543,677	558,132	569,064	577,447	585,916
YoY %		5%	9%	6%	4%	3%	2%	1%	1%
EBIT	94,624	98,472	101,677	102,090	99,720	96,156	95,361	94,459	93,548
EBIT margin	22%	22%	20%	19%	18%	17%	17%	16%	16%
EBIT*(1-t)	77,624	80,747	76,257	76,567	74,790	72,117	71,521	70,844	70,161
YoY %		4%	-6%	0%	-2%	-4%	-1%	-1%	-1%
D&A	601	628	634	640	647	653	660	666	673
Change in working capital	21,530	(38,025)	(18,181)	(9,248)	(11,131)	(9,693)	(10,876)	(10,020)	(7,711)
Capex	(1,145)	(6,370)	(9,024)	(10,664)	(12,216)	(13,138)	(13,396)	(13,593)	(13,792)
Non-cash operating items	7,937	7,386	7,210	6,670	5,977	5,344	4,640	3,889	3,114
Operating free cash flow	**106,548**	**44,366**	**56,897**	**63,965**	**58,066**	**55,282**	**52,549**	**51,786**	**52,444**
Discounted FCF		**43,585**	**50,447**	**51,203**	**41,925**	**36,024**	**30,905**	**27,528**	**25,117**

Equity value	
PV of FCF	306,733
Terminal value	412,418
NPV of terminal value	197,517
Enterprise value	**504,250**
Net cash	550,954
Equity value (Rmb mn)	1,055,204
Equity value (US$ mn)	154,402
Equity value (US$/shr)	**$104.0**
Current price (US$/shr)	$78.40
Up/(down)side	33%
Implied 2026E PE	10.7x
Implied 2027E PE	10.5x

Assumptions	
Cost of equity	10.8%
Cost of debt	
Risk free rate	1.80%
Equity risk premium	6.0%
Beta	1.5
Tax rate	15%
Target debt/capital ratio	0%
WACC	**10.8%**
Risk free rate	1.80%
(-) Term premium	1.5%
(-) Productivity fade	2.0%
Terminal growth rate	**-1.7%**

Source : Company data, Deutsche Bank estimates; Note: Pricing as of 27 Oct 2026.

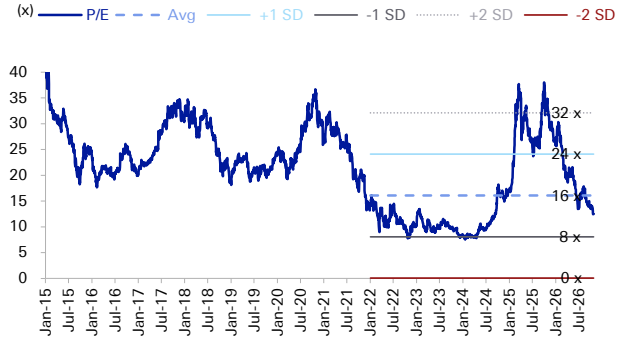
Valuation charts

Figure 42: Comps table

Company	BBG ticker	MCap (USDmn)	Price (LC)	EPS CAGR 2025-27E	P/E (x) 2026E	P/E (x) 2027E	PEG(x) 2026E	P/B (x) 2026E	P/B (x) 2027E	ROE (%) 2026E	ROE (%) 2027E	Div yield (%) 2026E	Div yield (%) 2027E	Share performance 1M	Share performance 3M	Share performance YTD
China eCommerce																
Alibaba	BABA US	249,396	100.25	37%	15.2	11.0	0.4	1.4	1.2	8.4	11.1	1.2	1.5	-8%	-13%	-32%
Alibaba	9988 HK	250,902	97.00	37%	15.3	11.1	0.4	1.4	1.2	8.4	11.1	1.1	1.5	-8%	-12%	-31%
PDD	PDD US	111,594	78.40	9%	7.6	6.3	(7.8)	1.5	1.2	20.8	20.3	-	-	0%	-9%	-31%
JD.com	JD US	34,473	25.24	39%	8.1	6.2	0.2	1.0	0.9	11.6	14.9	3.8	4.2	-4%	-20%	-11%
JD.com	9618 HK	34,855	99.05	39%	8.0	6.2	0.2	1.0	0.9	11.6	14.9	3.8	4.2	-4%	-19%	-10%
Meituan	3690 HK	56,049	71.20	n.m.	230.9	15.9	(2.2)	2.3	2.0	(0.9)	11.1	-	-	-1%	-21%	-31%
Median					**11.6**	**8.7**	**0.2**	**1.4**	**1.2**	**10.0**	**13.0**	**1.2**	**1.5**			
Market cap weighted average					**29.8**	**10.2**	**(1.0)**	**1.4**	**1.3**	**9.9**	**12.9**	**1.1**	**1.4**			
China internet - non-eCom																
Tencent	700 HK	449,248	387.60	14%	11.4	10.9	2.6	2.2	1.9	18.7	17.0	1.5	1.6	-12%	-13%	-35%
NetEase	NTES US	73,293	114.09	17%	12.2	10.6	0.8	2.6	2.4	21.5	21.7	2.7	3.2	-6%	-10%	-17%
Kuaishou	1024 HK	14,858	27.08	-28%	11.8	10.9	1.3	1.2	1.0	8.3	8.4	1.3	1.1	-12%	-36%	-58%
Baidu	BIDU US	26,744	78.27	1%	14.1	11.3	0.6	0.6	0.6	4.0	4.6	0.1	0.1	-10%	-25%	-40%
Trip.com	TCOM US	24,930	39.59	-21%	11.6	9.9	0.7	1.0	0.9	6.1	8.5	0.1	0.2	-1%	-13%	-45%
Bilibili	BILI US	5,508	13.11	68%	12.7	10.5	0.6	2.0	1.8	10.6	13.8	-	-	-13%	-27%	-47%
Xiaomi	1810 HK	84,244	25.62	4%	21.9	16.9	0.7	2.0	1.8	8.9	10.2	-	-	-1%	-12%	-35%
Median					**12.2**	**10.9**	**0.7**	**2.0**	**1.8**	**8.9**	**10.2**	**0.1**	**0.2**			
Market cap weighted average					**12.9**	**11.6**	**2.0**	**2.1**	**1.9**	**16.5**	**15.7**	**1.4**	**1.4**			
Global eCommerce																
Amazon	AMZN US	2,730,016	253.10	33%	17.5	20.5	(1.2)	4.7	3.8	25.1	18.4	-	-	3%	10%	10%
TJX	TJX US	154,216	140.20	11%	26.5	24.3	2.0	13.5	11.1	53.3	50.4	1.4	1.5	8%	-13%	-9%
Coupang	CPNG US	25,006	13.91	62%	n.m.	44.2	n.m.	7.4	6.0	(24.6)	14.8	-	0.0	1%	-10%	-41%
Sea	SE US	45,771	74.73	37%	20.5	15.7	0.7	3.1	2.5	14.0	15.6	-	-	-24%	-30%	-41%
MercadoLibre	MELI US	85,196	1,680.51	18%	43.5	30.6	1.0	9.5	7.4	25.4	27.2	-	-	-2%	-10%	-17%
Zalando	ZAL GR	7,156	25.70	48%	26.8	14.4	0.3	2.2	2.0	7.3	11.9	-	0.1	17%	-14%	1%
Etsy	ETSY US	8,046	87.66	79%	14.8	12.7	0.9	n.a.	n.a.	(61.7)	(47.9)	-	-	27%	1%	58%
Median					**23.5**	**20.5**	**0.8**	**6.0**	**4.9**	**14.0**	**15.6**	**-**	**-**			
Market cap weighted average					**18.6**	**21.0**	**(0.9)**	**5.2**	**4.2**	**25.7**	**20.0**	**0.1**	**0.1**			
Global internet - non-eCom																
Apple	AAPL US	5,065,640	347.10	13%	39.3	36.3	4.7	48.5	35.6	136.5	113.7	0.3	0.3	3%	2%	28%
NVIDIA	NVDA US	5,252,354	217.94	91%	23.2	13.7	0.3	16.7	9.3	97.7	81.6	0.3	0.5	-5%	11%	17%
Microsoft	MSFT US	3,945,883	531.33	18%	26.9	22.6	1.4	7.1	5.6	28.6	26.9	0.7	0.8	4%	35%	10%
Alphabet	GOOGL US	3,898,402	320.58	32%	16.9	20.0	(1.1)	5.5	4.3	60.6	45.1	0.3	0.2	-6%	-4%	2%
Meta	META US	1,610,163	620.19	14%	18.5	16.3	1.4	5.3	4.1	28.1	24.2	0.3	0.4	-13%	5%	-6%
Netflix	NFLX US	256,727	62.52	22%	17.4	16.5	3.1	8.5	7.2	52.4	48.3	-	-	-10%	-14%	-33%
Salesforce	CRM US	198,252	240.89	53%	14.4	15.1	0.3	4.9	4.1	25.2	24.6	0.7	0.6	6%	33%	-9%
Median					**18.5**	**16.5**	**1.4**	**7.1**	**5.6**	**52.4**	**45.1**	**0.3**	**0.4**			
Market cap weighted average					**26.2**	**22.6**	**1.5**	**19.5**	**13.7**	**80.0**	**66.4**	**0.4**	**0.4**			

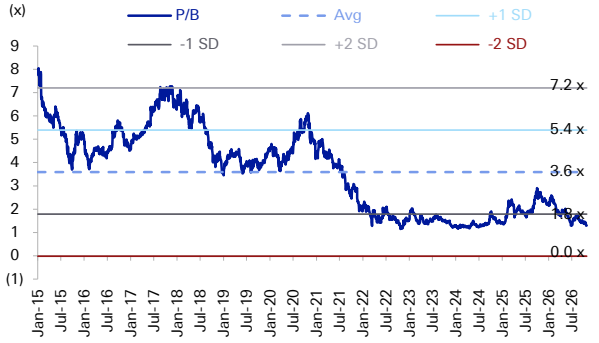
Source : Bloomberg Finance LP, Deutsche Bank

Figure 43: Alibaba – 12-month forward P/E



Source : Bloomberg Finance LP, Deutsche Bank

Figure 44: Alibaba – 12-month forward P/B



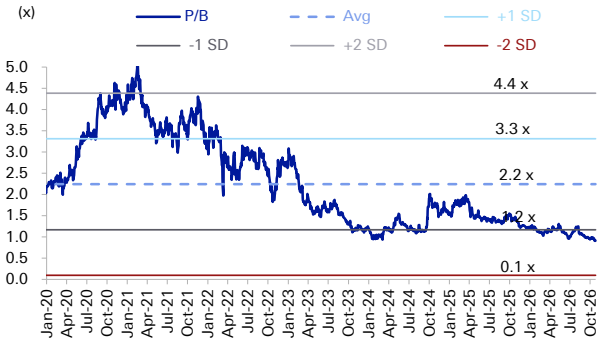
Source : Bloomberg Finance LP, Deutsche Bank

Figure 45: JD – 12-month rolling P/E



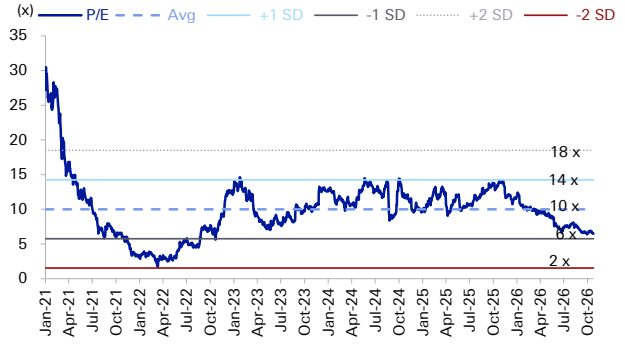
Source : Bloomberg Finance LP, Deutsche Bank

Figure 46: JD – 12-month rolling P/B



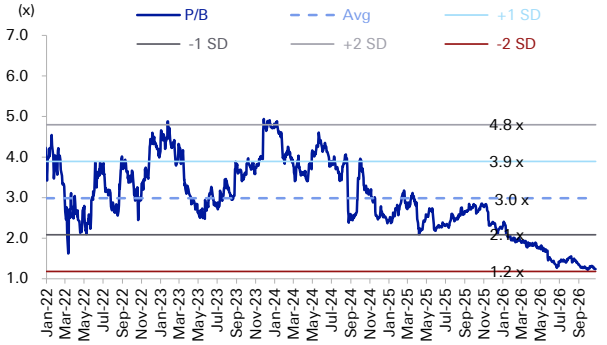
Source : Bloomberg Finance LP, Deutsche Bank

Figure 47: PDD – 12-month rolling P/E chart



Source : Bloomberg Finance LP, Deutsche Bank

Figure 48: PDD –12-month rolling P/B chart



Source : Bloomberg Finance LP, Deutsche Bank



Acknowledgement

We would like to thank Sylvia Chen of Evalueserve for her help in this report.

Model updated: 29 October 2026

Running the numbers
Asia
China
Software & Services

Alibaba

Reuters: BABA.N Bloomberg: BABA US

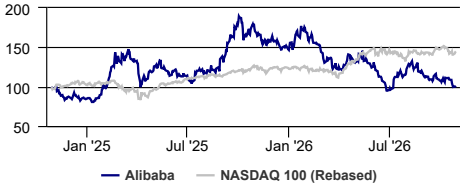
Buy

Price (28 Oct 26)	USD 101.0
Target Price	USD 185.0
52 Week range	USD 94.81 - 179.97
Market cap (m)	USDm 237,139 EURm 212,786

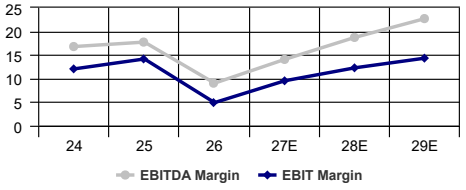
Company Profile

Founded in 1999, Alibaba leads the China retail market through Taobao (the largest online shopping platform in China based on GMV),Tmall (the largest 3rd party platform for retailers/brands in terms of GMV) and Juhuasuan (a leading China group buying platform). The company caters to global wholesale market through Alibaba.com and China wholesale market through 1688.com. Alibaba also serves

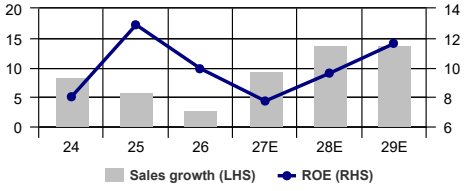
Price Performance



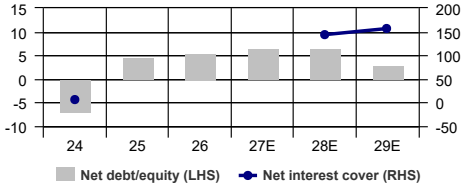
Margin Trends



Growth & Profitibility



Solvency



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Fiscal year end 31-Mar	2024	2025	2026	2027E	2028E	2029E
Financial Summary						
DB EPS (CNY)	61.88	65.48	25.23	46.17	60.41	76.66
Reported EPS (CNY)	31.44	53.88	43.09	36.19	50.09	66.84
DPS (CNY)	2.00	1.05	2.08	2.72	3.45	4.31
BVPS (CNY)	395.3	434.9	460.5	527.5	575.2	639.5
Weighted average shares (m)	2,523	2,349	2,321	2,343	2,388	2,432
Average market cap (CNYm)	1,502,059	1,555,458	2,318,894	1,580,996	1,580,996	1,580,996
Enterprise value (CNYm)	940,038	1,004,300	1,737,814	1,011,137	1,003,228	939,886
Valuation Metrics						
P/E (DB) (x)	9.6	10.1	39.6	14.6	11.1	8.8
P/E (Reported) (x)	18.9	12.3	23.2	18.6	13.4	10.1
P/BV (x)	1.31	2.19	1.94	1.32	1.21	1.09
FCF Yield (%)	10.0	5.0	nm	nm	nm	2.8
Dividend Yield (%)	0.3	0.2	0.2	0.4	0.5	0.6
EV/Sales (x)	1.0	1.0	1.7	0.9	0.8	0.6
EV/EBITDA (x)	6.0	5.7	18.8	6.4	4.2	2.9
EV/EBIT (x)	8.3	7.1	34.7	9.5	6.4	4.5
Income Statement (CNYm)						
Sales revenue	941,168	996,347	1,023,670	1,119,882	1,274,716	1,451,198
Gross profit	354,845	398,062	407,534	453,520	518,617	597,444
EBITDA	157,854	176,501	92,296	157,303	238,447	329,277
Depreciation	26,640	29,260	37,067	46,150	78,025	117,852
Amortisation	17,864	6,336	5,079	4,571	4,114	3,703
EBIT	113,350	140,905	50,150	106,582	156,308	207,723
Net interest income(expense)	-17,911	11,163	77,719	10,330	-1,086	-1,324
Associates/affiliates	-7,735	5,966	2,785	2,785	2,785	2,785
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	6,157	3,387	1,518	1,518	1,518	1,518
Profit before tax	101,596	155,455	129,387	118,430	156,739	207,917
Income tax expense	22,529	35,445	30,045	33,654	35,546	41,808
Minorities	-8,677	-4,133	-1,465	-1,465	-1,465	-1,465
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	80,009	130,109	103,592	89,026	125,443	170,359
DB adjustments (including dilution)	77,470	28,013	-42,934	24,550	25,827	25,011
DB Net profit	157,479	158,122	60,658	113,577	151,270	195,370
Cash Flow (CNYm)						
Cash flow from operations	182,593	163,509	76,213	109,269	218,322	302,983
Net Capex	-32,556	-85,972	-126,063	-198,219	-225,625	-256,862
Free cash flow	150,037	77,537	-49,850	-88,950	-7,302	46,121
Equity raised/(bought back)	-111,669	-17,239	-16,975	51,051	-32,391	-43,420
Dividends paid	-546	0	0	0	0	0
Net inc/(dec) in borrowings	2,465	72,143	15,114	0	0	0
Other investing/financing cash flows	16,627	-229,597	36,011	16,284	31,769	42,798
Net cash flow	56,914	-97,156	-15,700	-21,615	-7,924	45,499
Change in working capital	-4,221	-10,705	-23,745	-18,485	9,795	10,292
Balance Sheet (CNYm)						
Cash and other liquid assets	248,125	145,487	131,530	109,915	101,991	147,490
Tangible fixed assets	185,161	203,348	282,699	434,768	582,367	721,378
Goodwill/intangible assets	286,629	276,412	264,361	259,790	255,676	251,973
Associates/investments	599,999	669,075	700,248	709,176	723,545	739,922
Other assets	444,915	509,905	530,732	575,937	624,148	677,447
Total assets	1,764,829	1,804,227	1,909,570	2,089,587	2,287,727	2,538,211
Interest bearing debt	170,776	194,869	193,159	193,159	193,159	193,159
Other liabilities	481,454	519,252	590,141	604,254	666,509	736,596
Total liabilities	652,230	714,121	783,300	797,413	859,668	929,755
Shareholders' equity	997,272	1,021,571	1,068,731	1,236,100	1,373,450	1,555,312
Minorities	115,327	68,535	57,539	56,074	54,609	53,144
Total shareholders' equity	1,112,599	1,090,106	1,126,270	1,292,174	1,428,059	1,608,456
Net debt	-77,349	49,382	61,629	83,244	91,168	45,669
Key Company Metrics						
Sales growth (%)	8.3	5.9	2.7	9.4	13.8	13.8
DB EPS growth (%)	15.4	5.8	-61.5	83.0	30.8	26.9
EBITDA Margin (%)	16.8	17.7	9.0	14.0	18.7	22.7
EBIT Margin (%)	12.0	14.1	4.9	9.5	12.3	14.3
Payout ratio (%)	6.3	1.9	4.7	7.2	6.6	6.2
ROE (%)	8.0	12.9	9.9	7.7	9.6	11.6
Capex/sales (%)	3.5	8.6	12.3	17.7	17.7	17.7
Capex/depreciation (x)	0.7	2.4	3.0	3.9	2.7	2.1
Net debt/equity (%)	-7.0	4.5	5.5	6.4	6.4	2.8
Net interest cover (x)	6.3	nm	nm	nm	143.9	156.9

Source: Company data, Deutsche Bank estimates

Model updated: 29 October 2026

Running the numbers

Asia

China

Retail / Wholesale Trade

JD.com

Reuters: JD.OQ | Bloomberg: JD US

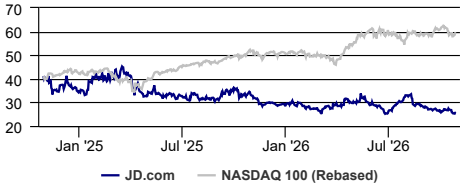
Buy

Price (28 Oct 26)	USD 25.45
Target Price	USD 40.00
52 Week range	USD 25.19 - 34.36
Market cap (m)	USDm 38,041 EURm 34,135

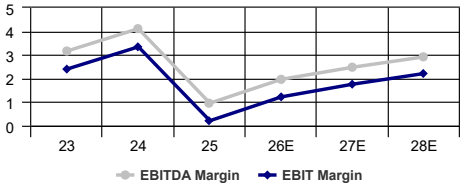
Company Profile

JD.com is China's leading one-stop e-commerce platform, offering a vast selection of products, across major categories (electronics, apparel and home furnishings, FMCG, fresh food, home appliances and others).

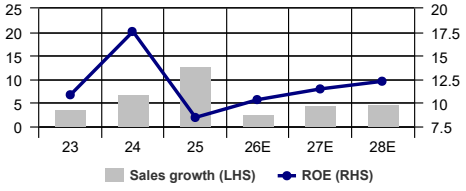
Price Performance



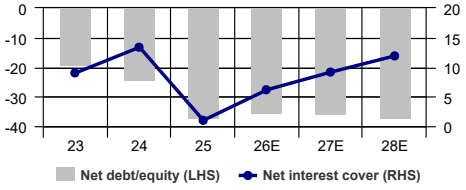
Margin Trends



Growth & Profitibility



Solvency



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Fiscal year end 31-Dec	2023	2024	2025	2026E	2027E	2028E
Financial Summary						
DB EPS (CNY)	22.20	31.09	18.15	21.07	24.17	27.42
Reported EPS (CNY)	15.24	26.89	13.18	16.38	19.97	23.61
DPS (CNY)	5.38	6.99	6.92	8.46	9.89	11.26
BVPS (CNY)	147.5	160.1	158.1	182.5	204.9	227.4
Weighted average shares (m)	1,572	1,495	1,424	1,351	1,326	1,321
Average market cap (CNYm)	416,596	323,415	352,325	253,620	253,620	253,620
Enterprise value (CNYm)	249,671	170,012	210,357	110,415	101,415	87,780
Valuation Metrics						
P/E (DB) (x)	11.9	7.0	13.6	8.1	7.0	6.2
P/E (Reported) (x)	17.4	8.0	18.8	10.4	8.5	7.2
P/BV (x)	1.39	1.56	1.30	0.93	0.83	0.75
FCF Yield (%)	9.5	13.7	1.4	5.5	9.8	12.7
Dividend Yield (%)	2.0	3.2	2.8	5.0	5.8	6.6
EV/Sales (x)	0.2	0.1	0.2	0.1	0.1	0.1
EV/EBITDA (x)	7.3	3.6	16.8	4.2	2.9	2.0
EV/EBIT (x)	9.6	4.4	75.8	6.7	4.1	2.7
Income Statement (CNYm)						
Sales revenue	1,084,662	1,158,819	1,309,085	1,343,038	1,405,056	1,472,448
Gross profit	159,704	183,868	210,028	228,906	242,005	255,821
EBITDA	34,317	47,640	12,521	26,395	34,831	42,974
Depreciation	8,292	8,904	9,747	9,973	10,104	10,391
Amortisation	0	0	0	0	0	0
EBIT	26,025	38,736	2,774	16,422	24,727	32,583
Net interest income(expense)	-2,881	-2,896	-2,803	-2,659	-2,697	-2,736
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	8,506	15,698	25,352	20,304	19,805	19,805
Profit before tax	31,650	51,538	25,323	34,067	41,836	49,652
Income tax expense	8,393	6,878	2,181	5,110	7,530	9,930
Minorities	-910	3,301	3,511	4,564	4,564	4,564
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	24,167	41,359	19,631	24,393	29,741	35,157
DB adjustments (including dilution)	11,033	6,468	7,401	6,974	6,252	5,664
DB Net profit	35,200	47,827	27,032	31,367	35,993	40,821
Cash Flow (CNYm)						
Cash flow from operations	59,521	58,095	18,991	31,160	45,662	51,694
Net Capex	-20,015	-13,819	-14,184	-18,489	-23,542	-23,179
Free cash flow	39,506	44,276	4,807	12,671	22,120	28,514
Equity raised/(bought back)	-2,464	-25,885	-21,397	0	0	0
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	3,113	375	10,268	401	421	442
Other investing/financing cash flows	-45,860	17,552	40,231	-10,388	-12,074	-13,834
Net cash flow	-5,705	36,318	33,909	2,684	10,467	15,122
Change in working capital	15,646	-3,107	758	-3,787	4,527	4,960
Balance Sheet (CNYm)						
Cash and other liquid assets	71,892	108,350	137,488	140,172	150,639	165,761
Tangible fixed assets	119,518	125,734	134,730	144,293	158,777	172,611
Goodwill/intangible assets	26,914	64,643	59,701	58,655	57,609	56,563
Associates/investments	175,000	151,354	102,035	100,989	99,943	98,897
Other assets	235,634	248,153	261,247	271,606	284,101	297,090
Total assets	628,958	698,234	695,201	715,714	751,069	790,922
Interest bearing debt	15,445	32,351	28,812	29,213	29,633	30,075
Other liabilities	317,133	352,586	372,606	371,153	380,953	391,679
Total liabilities	332,578	384,937	401,418	400,365	410,587	421,755
Shareholders' equity	231,858	239,347	225,040	246,606	271,739	300,424
Minorities	64,522	73,950	68,743	68,743	68,743	68,743
Total shareholders' equity	296,380	313,297	293,783	315,349	340,482	369,167
Net debt	-56,447	-75,999	-108,676	-110,959	-121,005	-135,686
Key Company Metrics						
Sales growth (%)	3.7	6.8	13.0	2.6	4.6	4.8
DB EPS growth (%)	52.2	40.0	-41.6	16.0	14.7	13.4
EBITDA Margin (%)	3.2	4.1	1.0	2.0	2.5	2.9
EBIT Margin (%)	2.4	3.3	0.2	1.2	1.8	2.2
Payout ratio (%)	35.0	25.3	50.2	46.9	44.1	42.3
ROE (%)	10.9	17.6	8.5	10.3	11.5	12.3
Capex/sales (%)	1.8	1.2	1.1	1.4	1.7	1.6
Capex/depreciation (x)	2.4	1.6	1.5	1.9	2.3	2.2
Net debt/equity (%)	-19.0	-24.3	-37.0	-35.2	-35.5	-36.8
Net interest cover (x)	9.0	13.4	1.0	6.2	9.2	11.9

Source: Company data, Deutsche Bank estimates

Model updated: 29 October 2026

Running the numbers

Asia

China

Retail / Wholesale Trade

PDD Holdings Inc

Reuters: PDD.OQ Bloomberg: PDD US

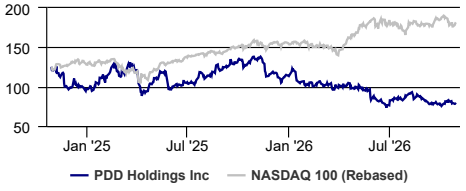
Buy

Price (28 Oct 26)	USD 77.47
Target Price	USD 105.0
52 Week range	USD 73.30 - 138.13
Market cap (m)	USDm 107,213 EURm 96,202

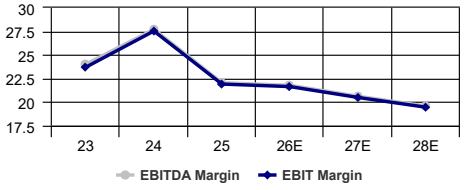
Company Profile

PDD is a large-size e-commerce company in China. PDD is mostly well-known for its "team purchase" concept.

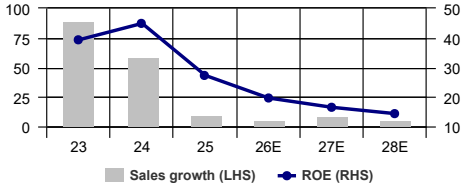
Price Performance



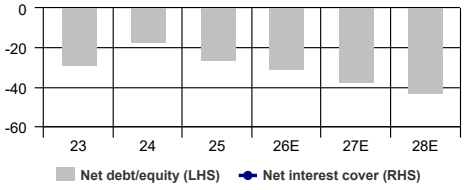
Margin Trends



Growth & Profitibility



Solvency



Peter Milliken, CFA
+852 2203 6190 peter.milliken@db.com

Fiscal year end 31-Dec	2023	2024	2025	2026E	2027E	2028E
Financial Summary						
DB EPS (CNY)	46.51	82.71	72.38	66.50	67.58	68.82
Reported EPS (CNY)	41.12	76.01	67.03	61.52	62.72	64.32
DPS (CNY)	0.00	0.00	0.00	0.00	0.00	0.00
BVPS (CNY)	138.3	226.4	296.8	367.4	439.0	512.0
Weighted average shares (m)	1,354	1,384	1,398	1,398	1,398	1,398
Average market cap (CNYm)	879,188	1,258,063	1,161,816	714,780	714,780	714,780
Enterprise value (CNYm)	615,532	843,325	629,764	132,787	64,199	-15,591
Valuation Metrics						
P/E (DB) (x)	14.0	11.0	11.5	7.8	7.6	7.5
P/E (Reported) (x)	15.8	12.0	12.4	8.4	8.2	8.0
P/BV (x)	7.50	3.08	2.75	1.41	1.18	1.01
FCF Yield (%)	10.6	9.6	9.1	7.6	10.2	11.5
Dividend Yield (%)	0.0	0.0	0.0	0.0	0.0	0.0
EV/Sales (x)	2.5	2.1	1.5	0.3	0.1	0.0
EV/EBITDA (x)	10.3	7.7	6.6	1.3	0.6	-0.2
EV/EBIT (x)	10.5	7.8	6.7	1.3	0.6	-0.2
Income Statement (CNYm)						
Sales revenue	247,639	393,836	431,846	454,967	496,092	524,569
Gross profit	155,916	239,936	243,044	256,801	276,549	290,148
EBITDA	59,485	109,132	95,226	99,100	102,310	102,730
Depreciation	786	709	601	628	634	640
Amortisation	0	0	0	0	0	0
EBIT	58,699	108,423	94,624	98,472	101,677	102,090
Net interest income(expense)	10,194	20,553	25,584	22,873	19,283	21,860
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	31	605	-1,838	-703	0	0
Other pre-tax income/(expense)	2,953	3,120	2,727	-9,430	3,000	3,180
Profit before tax	71,881	132,684	120,968	111,212	123,960	127,129
Income tax expense	11,850	20,267	21,733	20,018	30,990	31,782
Minorities	0	0	0	0	0	0
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	60,027	112,435	99,364	91,194	92,970	95,347
DB adjustments (including dilution)	7,873	9,909	7,937	7,386	7,210	6,670
DB Net profit	67,899	122,344	107,301	98,580	100,180	102,017
Cash Flow (CNYm)						
Cash flow from operations	94,163	121,929	106,939	61,183	82,633	93,409
Net Capex	-584	-967	-1,145	-6,370	-9,024	-10,664
Free cash flow	93,579	120,962	105,794	54,813	73,609	82,745
Equity raised/(bought back)	-8,969	0	-5,229	2	1	1
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	0	0	0	0	0	0
Other investing/financing cash flows	-55,130	-116,548	-44,028	0	0	0
Net cash flow	29,479	4,415	56,537	54,815	73,610	82,746
Change in working capital	40,313	29,739	21,530	-38,025	-18,181	-9,248
Balance Sheet (CNYm)						
Cash and other liquid assets	59,794	57,768	108,901	158,842	227,431	307,221
Tangible fixed assets	980	879	1,306	7,048	15,438	25,462
Goodwill/intangible assets	21	19	15	15	15	15
Associates/investments	209,742	362,279	423,151	423,151	423,151	423,151
Other assets	77,541	84,088	96,672	106,173	116,678	123,997
Total assets	348,078	505,034	630,044	695,230	782,713	879,846
Interest bearing debt	5,880	5,310	0	0	0	0
Other liabilities	154,956	186,412	215,137	181,741	169,043	164,158
Total liabilities	160,837	191,721	215,137	181,741	169,043	164,158
Shareholders' equity	187,242	313,313	414,907	513,489	613,670	715,688
Minorities	0	0	0	0	0	0
Total shareholders' equity	187,242	313,313	414,907	513,489	613,670	715,688
Net debt	-53,914	-52,458	-108,901	-158,842	-227,431	-307,221
Key Company Metrics						
Sales growth (%)	89.7	59.0	9.7	5.4	9.0	5.7
DB EPS growth (%)	69.5	77.8	-12.5	-8.1	1.6	1.8
EBITDA Margin (%)	24.0	27.7	22.1	21.8	20.6	19.6
EBIT Margin (%)	23.7	27.5	21.9	21.6	20.5	19.5
Payout ratio (%)	0.0	0.0	0.0	0.0	0.0	0.0
ROE (%)	39.4	44.9	27.3	19.6	16.5	14.3
Capex/sales (%)	0.2	0.2	0.3	1.4	1.8	2.0
Capex/depreciation (x)	0.7	1.4	1.9	10.1	14.2	16.7
Net debt/equity (%)	-28.8	-16.7	-26.2	-30.9	-37.1	-42.9
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates

Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist

Company	Ticker	Recent price*	Disclosure
Alibaba	BABA.N	100.96 (USD) 28 Oct 2026	2, 7, 8, 14, 15, 21, 24, 26
Alibaba	9988.HK	98.9 (HKD) 28 Oct 2026	2, 7, 8, 14, 15, 21, 24, 26
JD.com	9618.HK	100.1 (HKD) 28 Oct 2026	2, 7, 14, 24, 26
JD.com	JD.OQ	25.45 (USD) 28 Oct 2026	2, 7, 14, 24, 26
PDD Holdings Inc	PDD.OQ	77.47 (USD) 28 Oct 2026	2, 8, 14, 15, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at https://research.db.com/Research/Disclosures/EquityResearchDisclosures. Aside from within this report, important risk and conflict disclosures can also be found at https://research.db.com/Research/Disclosures/Disclaimer. Investors are strongly encouraged to review this information before investing.

Important Disclosures Required by U.S. Regulators

Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States.See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

2. Deutsche Bank and/or its affiliate(s) may act as a market maker or liquidity provider in the financial instruments issued by this company.

7. Deutsche Bank and/or its affiliate(s) has received compensation from this company for the provision of investment banking or financial advisory services within the past year.

8. Deutsche Bank and/or its affiliate(s) expects to receive, or intends to seek, compensation for investment banking services from this company in the next three months.

14. Deutsche Bank and/or its affiliate(s) has received compensation from this company within the past year for non-investment banking related services.

15. This company has been a client of Deutsche Bank Securities Inc. within the past year during which time it received investment banking services.

21. This company has been a client of Deutsche Bank Securities Inc. within the past year, during which time it received non-investment banking securities-related services.

Important Disclosures Required by Non-U.S. Regulators

Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States.See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

2. Deutsche Bank and/or its affiliate(s) may act as a market maker or liquidity provider in the financial instruments issued by this company.

24. Deutsche Bank and/or its affiliate(s) is or has been over the previous 12 months party to an agreement with the company relating to the provision of services set out in Sections A and B of Annex I of Directive 2014/65/EU, or has over the previous 12 months been obliged or entitled (as applicable) to pay or receive compensation relating to the provision of services set out in Sections A and B of Annex I of Directive 2014/65/EU.

26. Within the preceding 12 months, Deutsche Bank and/or its affiliate(s) has received compensation for the provision of investment banking services or is currently providing or has provided investment banking services to this company.

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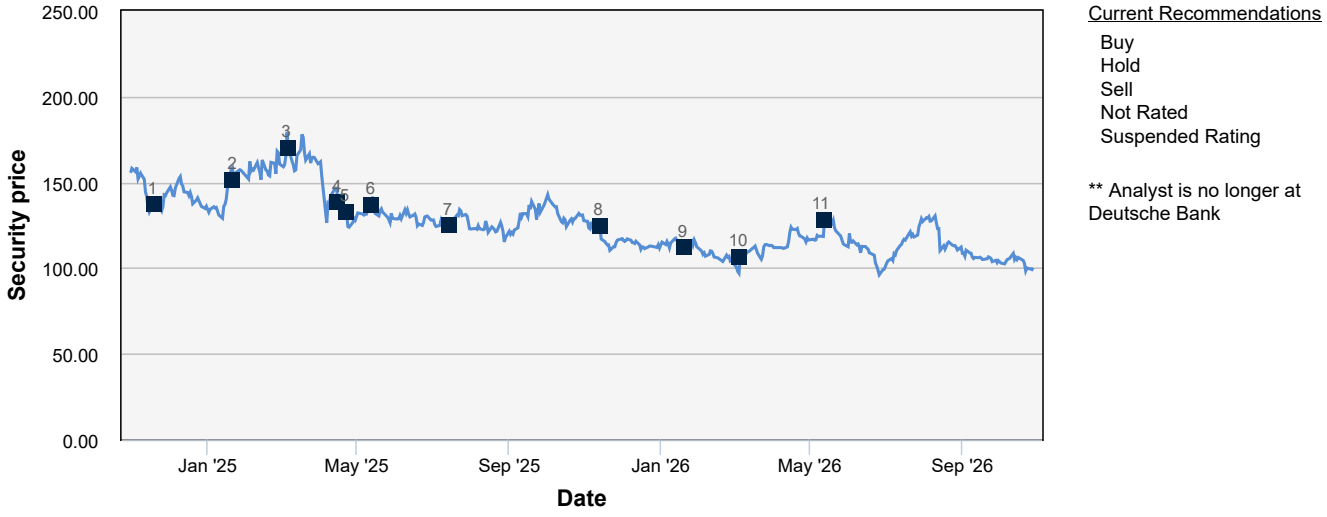
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst about the subject

issuers and the securities of those issuers. In addition, the undersigned lead analyst has not and will not receive any compensation for providing a specific recommendation or view in this report. Peter Milliken.

Historical recommendations and target price: JD.com (9618.HK)

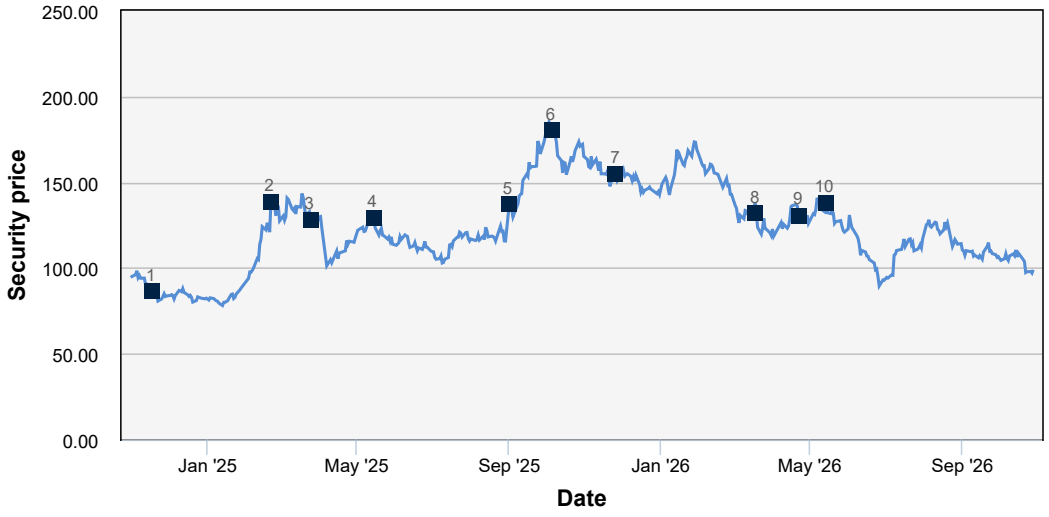
(as of 10/28/2026)



1.	11/19/2024	Buy, Target Price Change HKD 165.00, Current Price HKD 137.20 Jessie Xu**
2.	01/22/2025	Buy, Target Price Change HKD 190.00, Current Price HKD 151.60 Jessie Xu**
3.	03/07/2025	Buy, Target Price Change HKD 193.00, Current Price HKD 170.10 Jessie Xu**
4.	04/16/2025	Buy, Target Price Change HKD 197.00, Current Price HKD 138.40 Jessie Xu**
5.	04/23/2025	Buy, Target Price Change HKD 199.00, Current Price HKD 132.40 Jessie Xu**
6.	05/13/2025	Buy, Target Price Change HKD 204.00, Current Price HKD 137.00 Jessie Xu**
7.	07/15/2025	Buy, Target Price Change HKD 173.00, Current Price HKD 125.00 Jessie Xu**
8.	11/13/2025	Buy, Target Price Change HKD 168.00, Current Price HKD 124.40 Peter Milliken, CFA
9.	01/20/2026	Buy, Target Price Change HKD 155.00, Current Price HKD 112.40 Peter Milliken, CFA
10.	03/06/2026	Buy, Target Price Change HKD 140.00, Current Price HKD 106.60 Peter Milliken, CFA
11.	05/13/2026	Buy, Target Price Change HKD 155.00, Current Price HKD 128.20 Peter Milliken, CFA

Historical recommendations and target price: Alibaba (9988.HK)

(as of 10/28/2026)



Current Recommendations

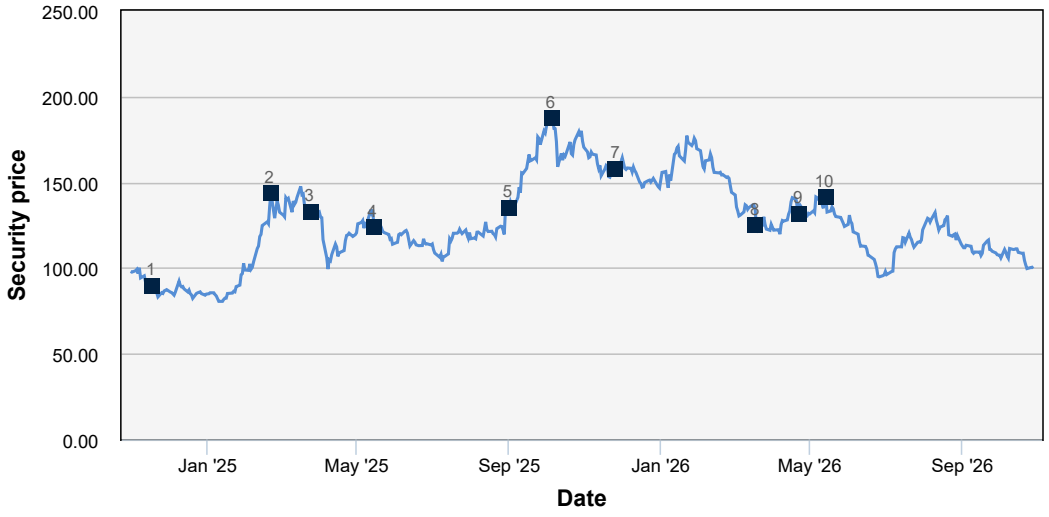
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	11/18/2024	Buy, Target Price Change HKD 127.00, Current Price HKD 86.30 Jessie Xu**
2.	02/21/2025	Buy, Target Price Change HKD 155.00, Current Price HKD 138.50 Jessie Xu**
3.	03/25/2025	Buy, Target Price Change HKD 163.00, Current Price HKD 127.70 Jessie Xu**
4.	05/15/2025	Buy, Target Price Change HKD 165.00, Current Price HKD 128.90 Jessie Xu**
5.	09/01/2025	Buy, Target Price Change HKD 172.00, Current Price HKD 137.10 Peter Milliken, CFA
6.	10/06/2025	Buy, Target Price Change HKD 220.00, Current Price HKD 180.50 Peter Milliken, CFA
7.	11/26/2025	Buy, Target Price Change HKD 210.00, Current Price HKD 154.80 Peter Milliken, CFA
8.	03/19/2026	Buy, Target Price Change HKD 190.00, Current Price HKD 132.00 Peter Milliken, CFA
9.	04/23/2026	Buy, Target Price Change HKD 180.00, Current Price HKD 130.40 Peter Milliken, CFA
10.	05/14/2026	Buy, Target Price Change HKD 190.00, Current Price HKD 137.90 Peter Milliken, CFA

Historical recommendations and target price: Alibaba (BABA.N)

(as of 10/28/2026)



Current Recommendations

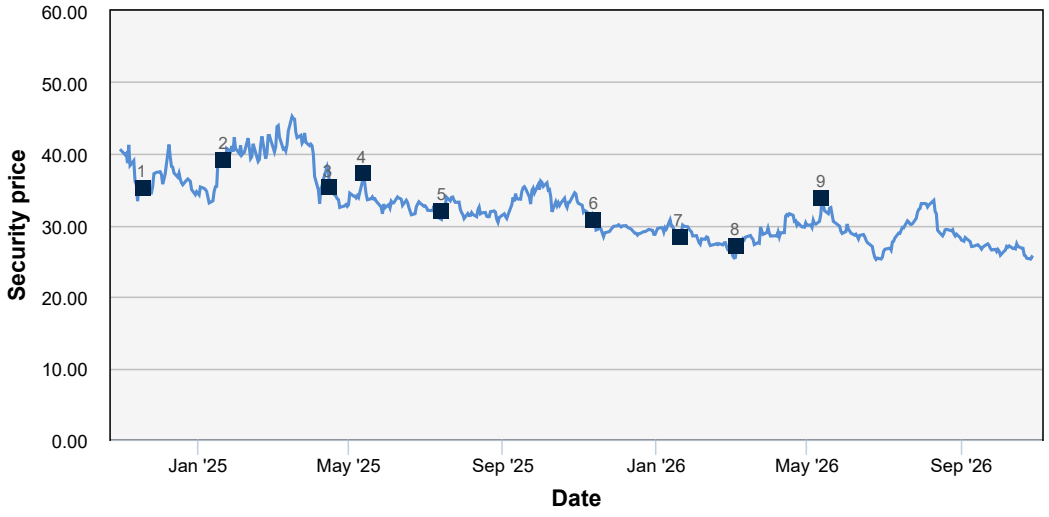
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	11/18/2024	Buy, Target Price Change USD 130.00, Current Price USD 89.35 Jessie Xu**
2.	02/21/2025	Buy, Target Price Change USD 162.00, Current Price USD 143.75 Jessie Xu**
3.	03/25/2025	Buy, Target Price Change USD 168.00, Current Price USD 132.75 Jessie Xu**
4.	05/15/2025	Buy, Target Price Change USD 169.00, Current Price USD 123.90 Jessie Xu**
5.	09/01/2025	Buy, Target Price Change USD 176.00, Current Price USD 135.00 Peter Milliken, CFA
6.	10/06/2025	Buy, Target Price Change USD 225.00, Current Price USD 187.22 Peter Milliken, CFA
7.	11/26/2025	Buy, Target Price Change USD 215.00, Current Price USD 157.60 Peter Milliken, CFA
8.	03/19/2026	Buy, Target Price Change USD 195.00, Current Price USD 124.90 Peter Milliken, CFA
9.	04/23/2026	Buy, Target Price Change USD 185.00, Current Price USD 131.70 Peter Milliken, CFA
10.	05/14/2026	Buy, Target Price Change USD 195.00, Current Price USD 141.12 Peter Milliken, CFA

Historical recommendations and target price: JD.com (JD.OQ)

(as of 10/28/2026)



Current Recommendations

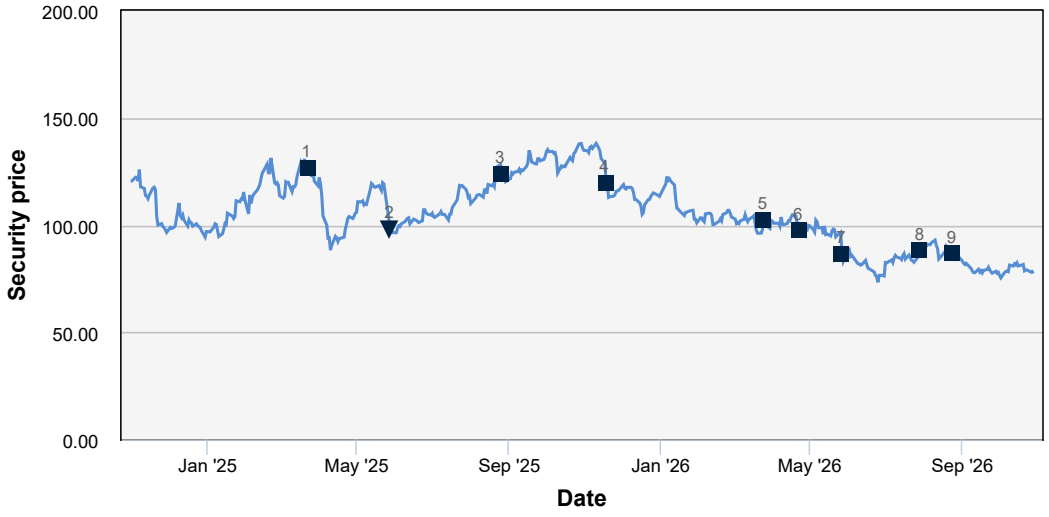
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	11/19/2024	Buy, Target Price Change USD 42.00, Current Price USD 35.19 Jessie Xu**
2.	01/22/2025	Buy, Target Price Change USD 49.00, Current Price USD 39.12 Jessie Xu**
3.	04/16/2025	Buy, Target Price Change USD 51.00, Current Price USD 35.33 Jessie Xu**
4.	05/13/2025	Buy, Target Price Change USD 52.00, Current Price USD 37.25 Jessie Xu**
5.	07/15/2025	Buy, Target Price Change USD 44.00, Current Price USD 32.04 Jessie Xu**
6.	11/13/2025	Buy, Target Price Change USD 43.00, Current Price USD 30.71 Peter Milliken, CFA
7.	01/20/2026	Buy, Target Price Change USD 40.00, Current Price USD 28.38 Peter Milliken, CFA
8.	03/06/2026	Buy, Target Price Change USD 36.00, Current Price USD 27.03 Peter Milliken, CFA
9.	05/13/2026	Buy, Target Price Change USD 40.00, Current Price USD 33.77 Peter Milliken, CFA

Historical recommendations and target price: PDD Holdings Inc (PDD.OQ)

(as of 10/28/2026)



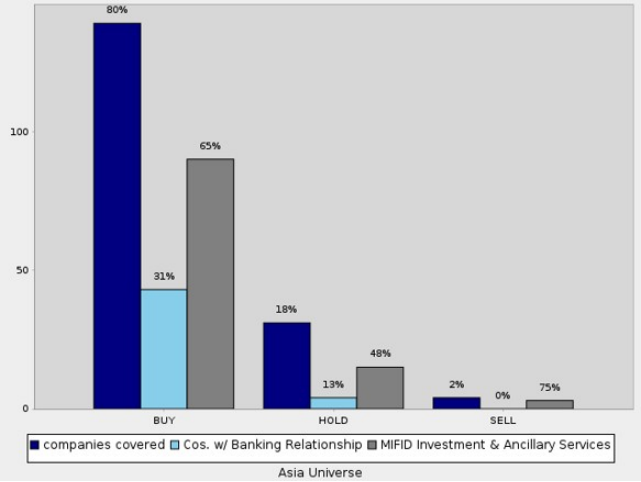
Current Recommendations

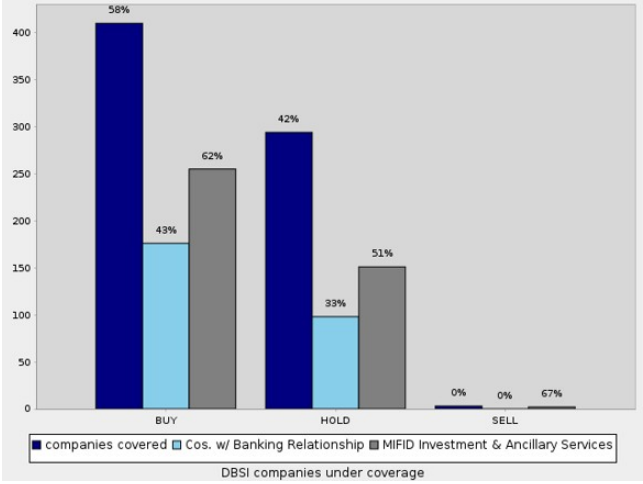
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	03/23/2025	Buy, Target Price Change USD 166.00, Current Price USD 126.64 Jessie Xu**
2.	05/28/2025	Downgraded to Hold, Target Price Change USD 112.00, Current Price USD 97.88 Jessie Xu**
3.	08/26/2025	Hold, Target Price Change USD 130.00, Current Price USD 123.91 Peter Milliken, CFA
4.	11/18/2025	Hold, Target Price Change USD 126.00, Current Price USD 119.58 Peter Milliken, CFA
5.	03/25/2026	Hold, Target Price Change USD 115.00, Current Price USD 102.61 Peter Milliken, CFA
6.	04/23/2026	Hold, Target Price Change USD 110.00, Current Price USD 97.77 Peter Milliken, CFA
7.	05/27/2026	Hold, Target Price Change USD 100.00, Current Price USD 86.61 Peter Milliken, CFA
8.	07/29/2026	Hold, Target Price Change USD 95.00, Current Price USD 88.32 Peter Milliken, CFA
9.	08/24/2026	Hold, Target Price Change USD 105.00, Current Price USD 87.07 Peter Milliken, CFA

Equity rating dispersion and banking relationships





Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold) recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the “Cos. w/ Investment Banking relationship” bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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